

**WATERLOO COMMUNITY SCHOOL DISTRICT
INDEPENDENT AUDITOR'S REPORTS
BASIC FINANCIAL STATEMENTS
AND SUPPLEMENTARY INFORMATION
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
JUNE 30, 2017**

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Introductory Section



Board of Education and School District Officials

As of June 30, 2017

Name	Title	Term Expires
Board of Education		
Shanlee McNally	President	September, 2017
Sue Flynn	Vice President	September, 2019
Jesse Knight	Board Member	September, 2019
Mike Kindschi	Board Member	September, 2017
Lyle Schmitt	Board Member	September, 2019
Rhonda McRina	Board Member	September, 2019
Angela Weekley	Board Member	September, 2017
School Officials		
Dr. Jane Lindaman	Superintendent	Indefinite
Pam Arndorfer	District Secretary	2017
Michael Coughlin	District Treasurer	2017
Steve Weidner	Attorney	Indefinite
Timothy Luce	Attorney	Indefinite

Financial Section



Independent Auditor's Report

Board of Education
Waterloo Community School District
Waterloo, Iowa

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of Waterloo Community School District, Waterloo, Iowa, as of and for the year ended June 30, 2017, and the related notes to the financial statements, which collectively comprise the District's basic financial statements, as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the District's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of Waterloo Community School District as of June 30, 2017, and the respective changes in financial position and cash flows, where applicable, for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, the budgetary comparison information, the schedule of proportionate share of the net pension liability, the schedule of contributions and the schedule of funding progress for the retiree health plan on pages 4 through 14 and 49 through 54 be presented to supplement the basic financial statements. Such information, although not a required part of the basic financial statements, is required by the Governmental Accounting Standards Board which considers it to be an essential part of the financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise Waterloo Community School District's basic financial statements. We previously audited, in accordance with the standards referred to in the third paragraph of this report, the financial statements for the nine years ended June 30, 2016 (which are not presented herein) and expressed unmodified opinions on those financial statements. The supplementary information on pages 55 through 65, including the schedule of expenditures of federal awards required by Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance), is presented for purposes of additional analysis and is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in our audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information is fairly stated in all material respects in relation to the basic financial statements taken as a whole.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued a report dated February 22, 2018 on our consideration of Waterloo Community School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Waterloo Community School District's internal control over financial reporting and compliance.

HOGAN - HANSEN

HOGAN - HANSEN

Mason City, Iowa
February 22, 2018

MANAGEMENT'S DISCUSSION AND ANALYSIS

Waterloo Community School District provides this management's discussion and analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2017. We encourage readers to consider this information in conjunction with the District's financial statements, which follow this narrative overview and analysis.

Financial Highlights

- The assets and deferred outflows of resources of Waterloo Community School District exceeded its liabilities and deferred inflows of resources at the close of the most recent fiscal year by \$90,411,883 (net position).
- The General Fund cash, cash equivalents and investments increased \$7,701,620 and the General Fund balance increased \$7,423,945.
- The State of Iowa granted a 2.25% allowable growth rate for fiscal year 2017 and previously granted allowable growth of 1.25% in fiscal year 2016, 4% in fiscal year 2015 and 2% in fiscal years 2014 and 2013. As a general rule, an allowable growth rate of 6% is required to fully maintain the increases of the budget for all programs to remain constant. The past history of the allowable growth rate set between 0% and 4% has posed many challenges to the District's educational delivery system.
- By 2008 State Legislative action, Local Option Sales and Service Tax (LOSST) which had been voter approved in every county, was changed to a state tax, Secure an Advanced Vision for Education (SAVE). The one-cent sales tax will be in effect until 2029 and subject to review and extension. The state collections will be received by the districts based upon enrollment times an estimated three-year average which will reduce the actual funds received in Black Hawk County by approximately 20%, but guarantees the longevity and ability for the District to bond against the proceeds for future facility projects. The Urban Education Network (20 largest districts in Iowa) are promoting the extension of SAVE during the 2017 Legislative session.
- Since the original LOSST/SAVE funding began in fiscal year 1999-2000, the District has constructed nine new elementary schools, one new middle school, extensively remodeled two elementary schools and completed other significant projects.

Walter Cunningham School of Excellence	2001-2002	New Building
East High School	2001-2002	Commons Area
West High School	2001-2002	Commons Area
Irving Elementary	2002-2003	New Building
Bunger Middle School	2003-2004	Classrooms Addition
Lincoln Elementary	2003-2004	New Building
Lou Henry Elementary	2004-2005	New Building
Hoover Middle School	2004-2005	Classrooms Addition
Kingsley Elementary	2005-2006	Remodel Building
Lowell Elementary	2004-2008	Remodel Building
Poyner Elementary	2006-2007	New Building
East High School	2006-2007	Auditorium Project
West High School	2006-2007	Locker Room Project
East High School	2007-2008	Locker Room Project
West High School	2008-2009	Auditorium Project
George Washington Carver Academy	2008-2009	New Building
Kittrell Elementary School	2008-2009	New Building
Highland Elementary School	2008-2009	New Building
Expo Alternative Education Center	2010-2011	Remodel Building
Kittrell Early Childhood Center	2010-2011	Remodel Building
West High School	2011-2012	Remodel Classrooms
Fred Becker Elementary	2011-2012	New Building
Orange Elementary	2012-2013	New Building
Hoover Middle School	2012-2014	Music and Commons Area
Bus Garage/Technology Offices	2014-2015	Remodel Buildings
Waterloo Career Center	2015-2017	Remodel Building

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

Management's discussion and analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.

The government-wide financial statements consist of a statement of net position and a statement of activities. These provide information about the activities of Waterloo Community School District as a whole and present an overall view of the District's finances.

The fund financial statements tell how governmental services were financed in the short term as well as what remains for future spending. Fund financial statements report Waterloo Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining financial statements provide information about activities for which Waterloo Community School District acts solely as an agent or custodian for the benefit of those outside of the District.

Notes to the financial statements provide additional information essential to a full understanding of the data provided in the basic financial statements.

Required supplementary information further explains and supports the financial statements with a comparison of the District's budget for the year, the District's proportionate share of the net pension liability and related contributions, as well as presenting the schedule of funding progress for the retiree health plan.

Supplementary information provides detailed information about the nonmajor governmental funds. In addition, the schedule of expenditures of federal awards provides details of various federal programs benefiting the District.

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

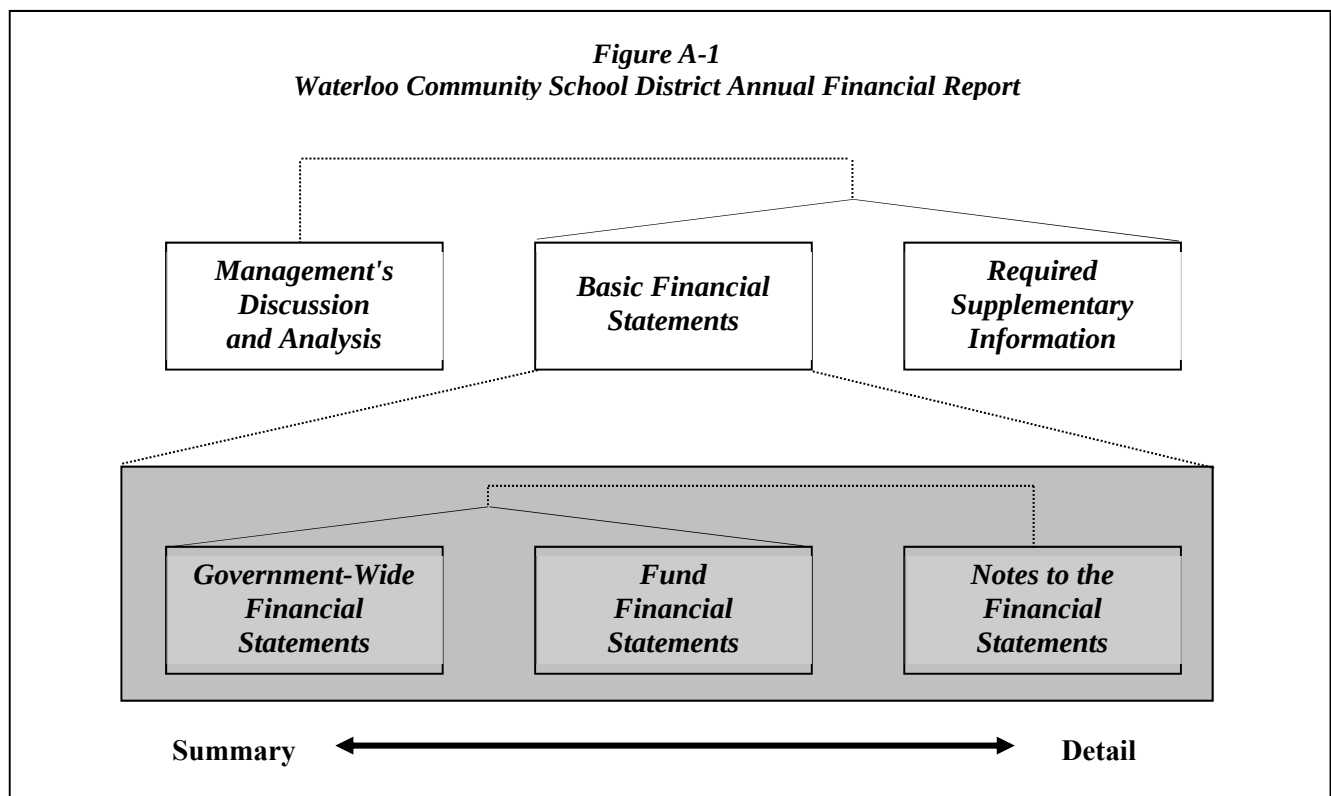


Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

Figure A-2 Major Features of the Government-Wide and Fund Financial Statements				
	Government-Wide Statements	Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	The activities of the District that are not proprietary or fiduciary, such as special education and building maintenance	Activities the District operates similar to private businesses: food services and internal services	Instances in which the District administers resources on behalf of someone else, such as scholarship programs and agency monies
Required financial statements	• Statement of net position • Statement of activities	• Balance sheet • Statement of revenue, expenditures and changes in fund balances	• Statement of net position • Statement of revenue, expenses and changes in fund net position • Statement of cash flows	• Statement of fiduciary net position • Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of deferred outflow/inflow information	Consumption/acquisition of net position that is applicable to a future reporting period	Consumption/acquisition of fund balance that is applicable to a future reporting period	Consumption/acquisition of net position that is applicable to a future reporting period	Consumption/acquisition of net position that is applicable to a future reporting period
Type of inflow/outflow information	All revenue and expenses during year, regardless of when cash is received or paid	Revenue for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenue and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-Wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The statement of net position includes all of the District's assets, deferred outflows of resources, liabilities and deferred inflows of resources, with the difference reported as net position. All of the current year's revenue and expenses are accounted for in the statement of activities, regardless of when cash is received or paid.

The two government-wide financial statements report the District's net position and how it has changed. Net position is one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position is an indicator of whether financial position is improving or deteriorating. To assess the District's overall health, additional nonfinancial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities, need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

- *Governmental activities:* Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.
- *Business-type activities:* The District charges fees to help cover the costs of certain services it provides. The District's school nutrition program is included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds or to show it is properly using certain revenue such as federal grants.

The District has three kinds of funds:

1. *Governmental funds:* Most of the District's basic services are included in governmental funds, which generally focus on (a) how cash and other financial assets that can readily be converted to cash flow in and out and (b) the balances left at year end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.

The District's governmental funds include the General Fund, the Special Revenue Funds, the Debt Service Fund and the Capital Projects Fund.

The required financial statements for governmental funds include a balance sheet and a statement of revenue, expenditures and changes in fund balances.

2. *Proprietary funds:* Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's enterprise fund, one type of proprietary fund, is the same as its business-type activities, but provides more detail and additional information, such as cash flows. The District's enterprise fund is the School Nutrition Fund. Internal service funds, the other type of proprietary fund, are optional and available to report activities that provide supplies and services for other District programs and activities. The District's internal service fund is the Print Shop Fund.

The required financial statements for proprietary funds include a statement of net position, a statement of revenue, expenses and changes in fund net position and a statement of cash flows.

3. *Fiduciary Funds*: The District is the trustee, or fiduciary, for assets that belong to others. These funds include the Private-Purpose Trust and Agency Funds.

The Private-Purpose Trust Fund is used to account for outside donations for scholarships for individual students.

The Agency Fund is used to account for assets held by the District as an agent for individuals and committees within the District for various designated purposes.

The Agency Fund is used to account for assets held by the District as an agent for individuals and committees within the District for various designated purposes.

The District is responsible for ensuring that the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds include a statement of fiduciary net position and a statement of changes in fiduciary net position.

Reconciliations between the government-wide financial statements and the governmental fund financial statements follow the governmental fund financial statements.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Figure A-3 below provides a summary of the District's net position as of June 30, 2017 compared to June 30, 2016.

Figure A-3
Condensed Statement of Net Position

	<u>Governmental Activities</u>		<u>Business-Type Activities</u>		<u>Total District</u>		<u>Total</u>
	<u>June 30,</u>		<u>June 30,</u>		<u>June 30,</u>		<u>Change</u>
	<u>2017</u>	<u>2016</u>	<u>2017</u>	<u>2016</u>	<u>2017</u>	<u>2016</u>	<u>June 30,</u>
							<u>2017-16</u>
Current and other assets	\$ 100,026,347	\$ 96,372,318	\$ 699,803	\$ 561,739	\$ 100,726,150	\$ 96,934,057	3.9%
Capital assets	<u>168,413,806</u>	<u>172,950,880</u>	<u>698,528</u>	<u>824,219</u>	<u>169,112,334</u>	<u>173,775,099</u>	(2.7)
Total Assets	<u>268,440,153</u>	<u>269,323,198</u>	<u>1,398,331</u>	<u>1,385,958</u>	<u>269,838,484</u>	<u>270,709,156</u>	(0.3)
Deferred Outflows of Resources	<u>20,970,534</u>	<u>9,169,838</u>	<u>435,777</u>	<u>220,443</u>	<u>21,406,311</u>	<u>9,390,281</u>	128.0
Total Assets and Deferred Outflows of Resources	<u>\$ 289,410,687</u>	<u>\$ 278,493,036</u>	<u>\$ 1,834,108</u>	<u>\$ 1,606,401</u>	<u>\$ 291,244,795</u>	<u>\$ 280,099,437</u>	4.0
Current liabilities	\$ 16,797,442	\$ 17,790,779	\$ 187,390	\$ 176,336	\$ 16,984,832	\$ 17,967,115	(5.5)
Long-term liabilities	<u>138,797,989</u>	<u>133,043,601</u>	<u>1,588,173</u>	<u>1,317,974</u>	<u>140,386,162</u>	<u>134,361,575</u>	4.5
Total Liabilities	<u>155,595,431</u>	<u>150,834,380</u>	<u>1,775,563</u>	<u>1,494,310</u>	<u>157,370,994</u>	<u>152,328,690</u>	3.3
Deferred Inflows of Resources	<u>43,403,373</u>	<u>45,868,181</u>	<u>58,545</u>	<u>112,091</u>	<u>43,461,918</u>	<u>45,980,272</u>	(5.5)
Net Position							
Net investment in capital assets	99,742,300	103,139,326	698,528	824,219	100,440,828	103,963,545	(3.4)
Restricted	26,714,296	20,345,571	—	—	26,714,296	20,345,571	31.3
Unrestricted	<u>(36,044,713)</u>	<u>(41,694,422)</u>	<u>(698,528)</u>	<u>(824,219)</u>	<u>(36,743,241)</u>	<u>(42,518,641)</u>	13.6
Total Net Position	<u>90,411,883</u>	<u>81,790,475</u>	<u>—</u>	<u>—</u>	<u>90,411,883</u>	<u>81,790,475</u>	10.5
Total Liabilities, Deferred Inflows of Resources and Net Position	<u>\$ 289,410,687</u>	<u>\$ 278,493,036</u>	<u>\$ 1,834,108</u>	<u>\$ 1,606,401</u>	<u>\$ 291,244,795</u>	<u>\$ 280,099,437</u>	4.0

The District's total net position increased 10.5%, or approximately \$8,621,000, from the prior year. The primary reason for the increase was steady revenue and a continued effort to closely monitor expenses.

The largest portion of the District's net position is invested in capital assets (e.g., land, buildings and equipment), less the related debt. The debt related to the investment in capital assets is liquidated with resources other than capital assets. The primary reason for the decrease is due to continued depreciation on existing assets.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position increased approximately \$6,369,000, or 31.3%, over the prior year. The increase was primarily a result of a surplus in the Capital Projects Fund and using debt service reserves to advance refund revenue bonds.

Unrestricted net position - the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements - increased approximately \$5,775,000, or 13.6%. The increase in unrestricted net position was primarily a result of a surplus in the General Fund.

Figure A-4 shows the changes in net position for the year ended June 30, 2017 compared to the year ended June 30, 2016.

**Figure A-4
Changes in Net Position**

	Governmental Activities		Business-Type Activities		Total District		Total Change 2017-16
	2017	2016	2017	2016	2017	2016	
Revenue							
Program Revenue							
Charges for service	\$ 3,190,532	\$ 3,443,175	\$ 1,294,810	\$ 1,284,523	\$ 4,485,342	\$ 4,727,698	(5.1)%
Operating grants, contributions and restricted interest	28,218,619	28,527,370	4,800,811	4,782,171	33,019,430	33,309,541	(0.9)
Capital grants, contributions and restricted interest	452,249	136,397	—	—	452,249	136,397	231.6
General Revenue							
Property tax	41,042,810	40,879,253	—	—	41,042,810	40,879,253	0.4
Statewide sales, services and use tax	10,404,246	10,636,953	—	—	10,404,246	10,636,953	(2.2)
Unrestricted state grants	63,834,387	63,579,962	—	—	63,834,387	63,579,962	0.4
Unrestricted investment earnings	381,908	370,954	1,150	410	383,058	371,364	3.1
Gain on disposal of capital assets	—	—	904	—	904	—	100.0
Total Revenue	<u>147,524,751</u>	<u>147,574,064</u>	<u>6,097,675</u>	<u>6,067,104</u>	<u>153,622,426</u>	<u>153,641,168</u>	0.0
Program Expenses							
Instruction	86,641,762	88,606,276	—	—	86,641,762	88,606,276	(2.2)
Support services	43,012,566	39,282,409	—	—	43,012,566	39,282,409	9.5
Noninstructional programs	820,652	749,198	6,097,675	5,771,697	6,918,327	6,520,895	6.1
Other	8,428,363	8,763,330	—	—	8,428,363	8,763,330	(3.8)
Total Expenses	<u>138,903,343</u>	<u>137,401,213</u>	<u>6,097,675</u>	<u>5,771,697</u>	<u>145,001,018</u>	<u>143,172,910</u>	1.3
Change in Net Position	8,621,408	10,172,851	—	295,407	8,621,408	10,468,258	(17.6)
Net Position - Beginning of Year	<u>81,790,475</u>	<u>71,617,624</u>	<u>—</u>	<u>(295,407)</u>	<u>81,790,475</u>	<u>71,322,217</u>	14.7
Net Position - End of Year	<u>\$ 90,411,883</u>	<u>\$ 81,790,475</u>	<u>\$ —</u>	<u>\$ —</u>	<u>\$ 90,411,883</u>	<u>\$ 81,790,475</u>	10.5

In fiscal year 2017, property tax and unrestricted state grants accounted for 71.1% of governmental activities revenue while charges for service and operating grants, contributions and restricted interest accounted for almost 100% of business-type activities revenue. The District's total revenue was approximately \$153.6 million, of which approximately \$147.5 million was for governmental activities and \$6.1 million was for business-type activities.

As shown in Figure A-4, the District as a whole experienced a less than 0.1% decrease in revenue and a 1.3% increase in expenses. The overall change in revenue was immaterial. The increase in expenses is primarily related to high wage and benefit costs.

Governmental Activities

Revenue for governmental activities was \$147,524,751 and expenses were \$138,903,343, which amounted to an increase in net position of \$8,621,408 for the year ended June 30, 2017.

The following table presents the total and net cost of the District's major governmental activities: instruction, support services, noninstructional programs and other expenses for the year ended June 30, 2017 compared to the year ended June 30, 2016.

Figure A-5
Total and Net Cost of Governmental Activities

	<u>Total Cost of Services</u>		<u>Change</u> <u>2017-16</u>	<u>Net Cost of Services</u>		<u>Change</u> <u>2017-16</u>
	<u>2017</u>	<u>2016</u>		<u>2017</u>	<u>2016</u>	
Instruction	\$ 86,641,762	\$ 88,606,276	(2.2)%	\$ 56,919,620	\$ 58,348,008	(2.4)%
Support services	43,012,566	39,282,409	9.5	41,696,773	38,258,092	9.0
Noninstructional programs	820,652	749,198	9.5	820,652	749,198	9.5
Other	8,428,363	8,763,330	(3.8)	7,604,898	7,938,973	(4.2)
Total	<u>\$ 138,903,343</u>	<u>\$ 137,401,213</u>	1.1	<u>\$ 107,041,943</u>	<u>\$ 105,294,271</u>	1.7

For the year ended June 30, 2017:

- The cost financed by users of the District's programs was \$3,190,532.
- Federal and state governments and private entities subsidized certain programs with grants and contributions totaling \$28,670,868.
- The net cost of governmental activities was financed with \$51,447,056 in property and other taxes, \$63,834,387 in unrestricted state grants and \$381,908 in unrestricted investment earnings.

Business-Type Activities

Revenue for business-type activities during the year ended June 30, 2017 was \$6,097,675, representing a 0.5% increase over the prior year, while expenses totaled \$6,097,675, a 5.6% increase over the prior year. The District's business-type activities include the School Nutrition Fund. Revenue of these activities was comprised of charges for service, federal and state reimbursements and grants and investment earnings.

- Business-type activities revenue was equal to expenses for fiscal year 2017 and revenue exceeded expenses by \$295,407 for fiscal year 2016.
- Charges for service represent 21.2% of total revenue for fiscal years 2017 and 2016. This represents the amount paid by students/staff for daily food service.
- Federal and state operating grants, included reimbursement for meals, payments for free and reduced lunches, commodities provided to the District and other miscellaneous grants, totaled \$4,800,811, or 78.7%, of total revenue. This is reflective of the District's population of "free and reduced" students, which was approximately 66% of total students.

INDIVIDUAL FUND ANALYSIS

As previously noted, Waterloo Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of \$42,918,043, an increase of \$4,206,237 from last year's ending fund balances of \$38,711,806. The primary reason for the increase in combined fund balances at the end of fiscal year 2017 was due to a continued effort to keep expenditures down. Revenue and expenditures did not vary significantly from the prior year; there were increases of less than 0.1% and 0.9%, respectively. The largest change from the prior year was the use of debt reserves to advance refund revenue bonds.

Governmental Fund Highlights

The General Fund is the chief operating fund of the District. At the end of fiscal year 2017, unassigned fund balance of the General Fund was \$16,613,297 while total fund balance increased from \$11,470,366 at the end of fiscal year 2016 to \$18,894,311 at the end of fiscal year 2017.

The General Fund balance increased by \$7,423,945, or 64.7%, during the current fiscal year. The primary reasons for this increase was an increase in property tax revenue along with a decrease in instructional costs.

The Debt Service Fund balance decreased from \$16,537,007 at the end of fiscal year 2016 to \$12,636,227 at the end of fiscal year 2017. Current year expenditures included bond interest and fiscal charges and principal payments. The decrease in fund balance is primarily related to the use of debt service reserves to advance refund revenue bonds.

The Capital Projects Fund balance increased from \$7,699,813 as of June 30, 2016 to \$8,414,802 as of June 30, 2017. Revenue increased slightly in the current year due to local capital grants received. Expenditures increased in the current year primarily due to the remodeling of Central Middle School to house the Waterloo Career Center. Transfers to the Debt Service Fund increased due to the increased debt payment requirements.

Proprietary Fund Highlights

School Nutrition Fund net position was \$0 as of June 30, 2016 and 2017. Revenue increased slightly primarily due to increased federal and state meal reimbursements. The District uses available surpluses to pay indirect costs to the General Fund as allowable resulting in no carryover fund balance.

BUDGETARY HIGHLIGHTS

In accordance with state law, the school board annually adopts a budget following the public notice and hearing requirements. Although the budget document presents functional area expenditures or expenses by fund, the legal level of control is at the aggregated functional level, not at the fund or fund type level. The District adopts a budget in April for the following year and at the same time considers a budget amendment for expenditures for the current year. The District amended its original budget for fiscal year 2017 primarily to increase expenditures for the advance refunding of revenue bonds.

A schedule showing the original and final budget amounts compared to the District's actual financial activity is provided in this report as required supplementary information.

The District's total revenue was \$2,250,747 less than total budgeted revenue, a variance of 1.4%, primarily due to less Federal and State revenue received than anticipated.

Total expenditures were \$62,853,422 less than total budgeted expenditures, a variance of 30.3%, primarily due to the payment to the escrow agent on the refunding bonds being treated as an expenditure for budget purposes and an other financing use for the financial statements.

The certified budget was exceeded during the year in the support services function but the District's total spending authority was not exceeded.

CAPITAL ASSETS AND DEBT ADMINISTRATION

Capital Assets

As of June 30, 2017, the District had invested \$169,112,334, net of accumulated depreciation, in a broad range of capital assets, including land, buildings and improvements, land improvements, equipment, furniture and construction in progress. (See Figure A-6). This represents a net decrease of 2.7% from last year. More detailed information about the District's capital assets is presented in Note 5 to the financial statements. Depreciation expense was \$5,747,995 for Governmental Activities and \$139,157 for Business-Type Activities.

The original cost of the District's capital assets was approximately \$245.1 million. Governmental funds account for approximately \$241.4 million with the remainder of approximately \$3.7 million accounted for in the Proprietary, School Nutrition Fund.

Figure A-6
Capital Assets, Net of Depreciation

	<u>Governmental Activities</u>		<u>Business-Type Activities</u>		<u>Total District</u>		<u>Total Change June 30, 2017-16</u>
	<u>June 30,</u>		<u>June 30,</u>		<u>June 30,</u>		
	<u>2017</u>	<u>2016</u>	<u>2017</u>	<u>2016</u>	<u>2017</u>	<u>2016</u>	
Land	\$ 3,379,905	\$ 3,279,397	\$ —	\$ —	\$ 3,379,905	\$ 3,279,397	3.1%
Construction in progress	432,932	506,400	—	—	432,932	506,400	(14.5)
Buildings and improvements	155,400,720	159,309,863	—	—	155,400,720	159,309,863	(2.5)
Improvements other than buildings	5,652,434	5,988,105	—	—	5,652,434	5,988,105	(5.6)
Furniture and equipment	<u>3,547,815</u>	<u>3,867,115</u>	<u>698,528</u>	<u>824,219</u>	<u>4,246,343</u>	<u>4,691,334</u>	(9.5)
Total	<u>\$ 168,413,806</u>	<u>\$ 172,950,880</u>	<u>\$ 698,528</u>	<u>\$ 824,219</u>	<u>\$ 169,112,334</u>	<u>\$ 173,775,099</u>	(2.7)

The decrease in capital assets was primarily related to continued depreciation of existing capital assets. There were no significant additions or disposals in the current year, net change in total capital assets related to additions and disposals was less than 1%.

Construction in progress as of June 30, 2016 included:

- Logan demolition
- Central track and pool renovations
- Various other projects

Construction in progress as of June 30, 2017 included:

- Central Middle School remodel
- Various other projects

Long-Term Debt

As of June 30, 2017, the District had \$69,673,800 of total long-term debt outstanding. This represents a decrease of 8.4% from last year. (See Figure A-7) The decrease was primarily related to scheduled payments. Additional information about the District's long-term debt is presented in Note 6 to the financial statements.

The Constitution of the State of Iowa limits the amount of debt districts can issue to 5% of the assessed value of all taxable property within the District. The District's outstanding debt is significantly below its constitutional debt limit of approximately \$209 million.

In January, 2017, the District issued \$43,045,000 of statewide sales, services and use tax revenue refunding bonds which were used to advance refund \$44,330,000 of previously issued bonds.

Figure A-7
Outstanding Long-Term Debt

	Total District		Total Change
	June 30,		June 30,
	2017	2016	2017-16
Revenue bonds	\$ 69,539,539	\$ 75,754,539	(8.2)%
Unamortized bond premium	134,261	335,015	(59.9)
Total	<u>\$ 69,673,800</u>	<u>\$ 76,089,554</u>	(8.4)

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The Iowa State Legislature enacted major changes to Iowa Code Chapter 20: Collective Bargaining, which stripped most areas of mandatory subjects of bargaining. Arbitration awards were also limited by Consumer Price Index percentages. Many districts and association groups settled for low salary increases for fiscal year 2018 in order to keep master contract language. Waterloo Community School District's action included salary increases only slightly lower than trends from prior years and moved the majority of contract language to an Employee Handbook. Future nonmandatory contract considerations will be addressed by District leadership and volunteer staff committees.
- The United States, as well as the world, experienced financial upheaval and have struggled through a gradual recovery process. This has affected the State of Iowa revenue and the ability to fund schools. At the height of economic decline in October, 2009, the Governor announced a 10% across-the-board cut reducing the District's budget by \$5.5 million. In response, after funding fiscal years 2006-2010 at 4% allowable growth, fiscal year 2011 was funded at 2% allowable growth. As state budget struggles continued, fiscal year 2012 was set at 0% allowable growth which required District budget reductions through noninstructional staffing and operational efficiencies. In the recovery process, allowable growth for fiscal years 2013, 2014 and 2015 were set at 2%, 2% and 4%, respectively, which resulted in improved financial indicators and enabling the District to continue support of student achievement programming and goals. For fiscal year 2016, State Supplemental Aid (formerly allowable growth) was reduced to 1.25% after a lengthy legislative session and Governor veto of additional funding. Fiscal year 2017 State Supplemental Aid was 2.25%. Looking forward to fiscal year 2018, State Supplemental Aid will be 1.11%, continuing a trend below the 4% annual increase. The District has been addressing the recovery of the lost fiscal year 2010 revenue by annual adjustments to the cash reserve levy. The recovery was accomplished in fiscal year 2017.
- In addition to state budget funding, the Governor established funding for a fiscal year 2015 Educational Reform Grant. This program funds the support of instruction through teacher professional development along with teacher modeling and mentoring. Instructional coaches in math and literacy also support the goals of raising student achievement. The District was part of the first round of schools to qualify for the \$309/student annual funding. This funding transitioned from a one-year grant, to an annual component of the funding formula in 2016 and beyond.
- Budget shortfalls usually mean staff reductions, but the District initially maintained all instructional positions to invest in student achievement goals. This resulted in a reduction of the unspent authorized budget balance in fiscal year 2013. An increase in budget authority of 4% was allowed for fiscal year 2015 allowing the District to regain some financial stability. However, the allowable growth for fiscal year 2017 was set at 2.25% and fiscal year 2018 was set at 1.11%. As a result, for the last two budget cycles the District has identified and enacted budget adjustments in multiple areas. Combined with an attention to all spending needs, the District's General Fund operating expenditures have decreased approximately 3% and resulted in higher fund balance and unspent authorized budget balance. However, there is uncertainty of future years state funding and this trend will be a major challenge for the District.

- District enrollment declined approximately 300 students in 2007-2010 but showed recovery by increasing 85 students in the fall of 2011, 83 students in the fall of 2012, 188 students in the fall of 2013 and 142 students in the fall of 2014. In a reverse of trends, the fall of 2015 saw a decline in enrollment of 197 students and further decline of 100 students in the fall of 2016. The most recent count in the fall of 2017 rebounded with an increase of 44 students. Under Iowa's school funding formula, District funding is highly dependent upon District enrollment. Future enrollment stability is a critical element in maintaining a sound financial foundation.
- In 2013, the District started a major initiative to identify, design and construct a 21st century high school system with career technical education (CTE) as a major component to meet the needs of the students, businesses and industries in the Cedar Valley. The District proceeded with initiating CTE program offerings in 2017 including nursing and graphic arts. Available District funds were used for remodeling a portion of Central Middle School to house the high school programs and expand in future years. In 2018, the District plans to add three additional programs: advanced manufacturing, early childhood education and information technology. Future plans include a major remodeling for additional programs to be added for fall 2019.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact Michael L. Coughlin, Chief Financial Officer, Waterloo Community School District, 1516 Washington Street, Waterloo, Iowa 50702.

Basic Financial Statements

Statement of Net Position

As of June 30, 2017

	Governmental Activities	Business- Type Activities	Total
Assets and Deferred Outflows of Resources			
Assets			
Cash, cash equivalents and investments	\$ 54,726,297	\$ 262,322	\$ 54,988,619
Receivables, Net of Allowance for Uncollectible Amounts			
Property Tax			
Current year delinquent	371,273	—	371,273
Succeeding year	40,980,631	—	40,980,631
Accounts	65,427	—	65,427
Internal balances	(352,383)	352,383	—
Due from other governments	3,986,191	40,788	4,026,979
Inventories	226,156	44,310	270,466
Prepaid items	22,755	—	22,755
Capital assets, net of accumulated depreciation	164,600,969	698,528	165,299,497
Capital assets not being depreciated	3,812,837	—	3,812,837
Total Assets	268,440,153	1,398,331	269,838,484
Deferred Outflows of Resources			
Deferred amount on refunding bonds	3,542,596	—	3,542,596
Pension-related deferred outflows	17,427,938	435,777	17,863,715
Total Deferred Outflows of Resources	20,970,534	435,777	21,406,311
Total Assets and Deferred Outflows of Resources	\$ 289,410,687	\$ 1,834,108	\$ 291,244,795
Liabilities, Deferred Inflows of Resources and Net Position			
Liabilities			
Accounts payable	\$ 537,901	\$ 6,253	\$ 544,154
Salaries and benefits payable	13,568,401	139,647	13,708,048
Due to other governments	1,569,734	—	1,569,734
Accrued interest payable	1,121,406	—	1,121,406
Unearned revenue	—	41,490	41,490
Long-Term Liabilities			
Portion Due Within One Year			
Revenue bonds, net of unamortized premium	6,390,852	—	6,390,852
Compensated absences	250,132	—	250,132
Portion Due After One Year			
Revenue bonds, net of unamortized premium	63,282,948	—	63,282,948
Compensated absences	83,378	—	83,378
Net pension liability	63,983,679	1,588,173	65,571,852
Net OPEB liability	4,807,000	—	4,807,000
Total Liabilities	155,595,431	1,775,563	157,370,994
Deferred Inflows of Resources			
Property tax levied for succeeding year	40,980,631	—	40,980,631
Pension-related deferred inflows	2,422,742	58,545	2,481,287
Total Deferred Inflows of Resources	43,403,373	58,545	43,461,918
Net Position			
Net investment in capital assets	99,742,300	698,528	100,440,828
Restricted for			
Categorical funding	846,668	—	846,668
Debt service	14,055,123	—	14,055,123
School infrastructure	7,827,314	—	7,827,314
Physical plant and equipment	1,012,488	—	1,012,488
Student activities	1,188,619	—	1,188,619
Management levy purposes	1,784,084	—	1,784,084
Unrestricted	(36,044,713)	(698,528)	(36,743,241)
Total Net Position	90,411,883	—	90,411,883
Total Liabilities, Deferred Inflows of Resources and Net Position	\$ 289,410,687	\$ 1,834,108	\$ 291,244,795

See accompanying notes to the financial statements.

Statement of Activities

Year Ended June 30, 2017

Functions/Programs	Expenses	Program Revenue			Net (Expenses), Revenue and Changes in Net Position		
		Charges for Service	Operating Grants, Contributions and Restricted Interest	Capital Grants, Contributions and Restricted Interest	Governmental Activities	Business- Type Activities	Total
Governmental Activities							
Instruction							
Regular.....	\$ 56,162,424	\$ 685,109	\$ 19,436,111	\$ —	\$ (36,041,204)	\$ —	\$ (36,041,204)
Special	27,193,436	429,989	6,831,125	—	(19,932,322)	—	(19,932,322)
Vocational	421,261	—	561,525	—	140,264	—	140,264
Other	2,864,641	1,778,283	—	—	(1,086,358)	—	(1,086,358)
Total Instruction.....	86,641,762	2,893,381	26,828,761	—	(56,919,620)	—	(56,919,620)
Support Services							
Student.....	4,465,354	—	—	—	(4,465,354)	—	(4,465,354)
Instructional staff.....	5,733,804	—	198,105	—	(5,535,699)	—	(5,535,699)
General administration	2,642,738	—	—	—	(2,642,738)	—	(2,642,738)
School administration.....	7,863,958	—	—	—	(7,863,958)	—	(7,863,958)
Business and central administration	3,922,815	—	—	—	(3,922,815)	—	(3,922,815)
Operation and maintenance of plant.....	13,627,848	287,893	—	452,249	(12,887,706)	—	(12,887,706)
Transportation	4,756,049	9,258	368,288	—	(4,378,503)	—	(4,378,503)
Total Support Services.....	43,012,566	297,151	566,393	452,249	(41,696,773)	—	(41,696,773)
Noninstructional Programs	820,652	—	—	—	(820,652)	—	(820,652)
Debt Service							
Interest and fiscal charges	3,116,157	—	823,465	—	(2,292,692)	—	(2,292,692)
Depreciation (unallocated)*	5,312,206	—	—	—	(5,312,206)	—	(5,312,206)
Total Governmental Activities	138,903,343	3,190,532	28,218,619	452,249	(107,041,943)	—	(107,041,943)
Business-Type Activities							
Noninstructional Programs							
Food service operations.....	6,097,675	1,294,810	4,800,811	—	—	(2,054)	(2,054)
Total	\$ 145,001,018	\$ 4,485,342	\$ 33,019,430	\$ 452,249	(107,041,943)	(2,054)	(107,043,997)
General Revenue							
Property Tax Levied for							
General purposes.....					36,670,942	—	36,670,942
Management levy purposes					1,492,335	—	1,492,335
Capital outlay					2,879,533	—	2,879,533
Unrestricted statewide sales, services and use tax.....					10,404,246	—	10,404,246
Unrestricted state grants					63,834,387	—	63,834,387
Unrestricted investment earnings					381,908	1,150	383,058
Gain on disposal of capital assets					—	904	904
Total General Revenue					115,663,351	2,054	115,665,405
Change in Net Position					8,621,408	—	8,621,408
Net Position - Beginning of Year					81,790,475	—	81,790,475
Net Position - End of Year					\$ 90,411,883	\$ —	\$ 90,411,883

* This amount excludes depreciation included in the direct expenses of the various programs.

Balance Sheet - Governmental Funds

As of June 30, 2017

	General	Debt Service	Capital Projects	Nonmajor	Total
Assets					
Cash, cash equivalents and investments	\$ 31,357,211	\$ 12,636,227	\$ 7,744,463	\$ 2,987,687	\$ 54,725,588
Receivables, Net of Allowance for Uncollectible Amounts					
Property Tax					
Current year delinquent.....	332,093	—	25,544	13,636	371,273
Succeeding year	36,533,367	—	2,947,267	1,499,997	40,980,631
Accounts	63,134	—	—	—	63,134
Due from other funds	—	—	4,110	—	4,110
Due from other governments	2,690,308	—	1,295,784	99	3,986,191
Inventories.....	202,521	—	—	—	202,521
Prepaid items	833	—	—	21,922	22,755
Total Assets.....	\$ 71,179,467	\$ 12,636,227	\$ 12,017,168	\$ 4,523,341	\$ 100,356,203
Liabilities, Deferred Inflows of Resources and Fund Balances					
Liabilities					
Accounts payable.....	\$ 322,413	\$ —	\$ 215,487	\$ 1	\$ 537,901
Salaries and benefits payable....	13,568,401	—	—	—	13,568,401
Due to other funds.....	305,853	—	—	50,640	356,493
Due to other governments	1,555,122	—	14,612	—	1,569,734
Total Liabilities	15,751,789	—	230,099	50,641	16,032,529
Deferred Inflows of Resources					
Unavailable Revenue					
Succeeding year property tax....	36,533,367	—	2,947,267	1,499,997	40,980,631
Other.....	—	—	425,000	—	425,000
Total Deferred Inflows of Resources	36,533,367	—	3,372,267	1,499,997	41,405,631
Fund Balances					
Nonspendable					
Inventories	202,521	—	—	—	202,521
Prepaid items.....	833	—	—	21,922	22,755
Restricted for					
Categorical funding	846,668	—	—	—	846,668
Debt service.....	—	12,636,227	—	—	12,636,227
School infrastructure	—	—	7,402,314	—	7,402,314
Physical plant and equipment ..	—	—	1,012,488	—	1,012,488
Student activities	—	—	—	1,188,619	1,188,619
Management levy purposes	—	—	—	1,762,162	1,762,162
Assigned for					
Alternate health insurance plan	1,230,992	—	—	—	1,230,992
Unassigned	16,613,297	—	—	—	16,613,297
Total Fund Balances	18,894,311	12,636,227	8,414,802	2,972,703	42,918,043
Total Liabilities, Deferred Inflows of Resources and Fund Balances	\$ 71,179,467	\$ 12,636,227	\$ 12,017,168	\$ 4,523,341	\$ 100,356,203

See accompanying notes to the financial statements.

Reconciliation of the Balance Sheet - Governmental Funds to the Statement of Net Position

As of June 30, 2017

Total Fund Balances of Governmental Funds (Page 17) \$ 42,918,043

Amounts reported for governmental activities in the statement of net position are different because:

Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds..... 168,413,806

An internal service fund is used by management to charge the costs of the District's print shop services to various entities and individuals. The assets and liabilities of the internal service fund are included in governmental activities in the statement of net position. 26,637

Other long-term assets are not available to pay current year expenditures and, therefore, are recognized as deferred inflows of resources in the governmental funds. 425,000

Accrued interest payable on long-term liabilities is not due and payable in the current year and, therefore, is not reported as a liability in the governmental funds (1,121,406)

Pension-related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows:

Deferred outflows of resources.....	\$ 17,427,938	
Deferred inflows of resources.....	<u>(2,422,742)</u>	15,005,196

Long-term liabilities are not due and payable in the current year and, therefore, are not reported as liabilities in the governmental funds, as follows:

Deferred amount on refunding bonds	\$ 3,542,596	
Revenue bonds, net of unamortized premium	(69,673,800)	
Compensated absences	(333,510)	
Net pension liability	(63,983,679)	
Net OPEB liability.....	<u>(4,807,000)</u>	<u>(135,255,393)</u>

Net Position of Governmental Activities (Page 15) **\$ 90,411,883**

Statement of Revenue, Expenditures and Changes in Fund Balances - Governmental Funds

Year Ended June 30, 2017

	General	Debt Service	Capital Projects	Nonmajor	Total
Revenue					
Local Sources					
Local tax	\$ 36,670,942	\$ —	\$ 2,879,533	\$ 1,492,335	\$ 41,042,810
Tuition	624,447	—	—	—	624,447
Other	1,150,363	182,192	269,845	1,834,120	3,436,520
State sources	82,424,106	—	10,593,668	57,576	93,075,350
Federal sources	8,595,359	—	823,465	—	9,418,824
Total Revenue	129,465,217	182,192	14,566,511	3,384,031	147,597,951
Expenditures					
Current					
Instruction					
Regular	53,927,579	—	705,223	721,151	55,353,953
Special	21,740,344	—	—	15,865	21,756,209
Vocational	398,996	—	1,387	—	400,383
Other	1,011,468	—	—	1,781,086	2,792,554
Total Instruction	77,078,387	—	706,610	2,518,102	80,303,099
Support Services					
Student	4,391,630	—	—	24,153	4,415,783
Instructional staff	5,596,751	—	—	49,554	5,646,305
General administration	2,592,911	—	1,680	7,546	2,602,137
School administration	7,713,306	—	—	29,833	7,743,139
Business and central administration	3,605,011	—	155,368	67,396	3,827,775
Operation and maintenance of plant	10,371,909	—	98,520	697,562	11,167,991
Transportation	4,750,742	—	—	—	4,750,742
Total Support Services	39,022,260	—	255,568	876,044	40,153,872
Noninstructional Programs	793,423	—	—	16,637	810,060
AEA Flowthrough	5,152,367	—	—	—	5,152,367
Facilities Acquisition	—	—	3,284,407	—	3,284,407
Debt Service					
Principal	—	4,930,000	—	—	4,930,000
Interest and fiscal charges	—	3,769,286	—	—	3,769,286
Total Debt Service	—	8,699,286	—	—	8,699,286
Total Expenditures	122,046,437	8,699,286	4,246,585	3,410,783	138,403,091
Revenue Over (Under) Expenditures	7,418,780	(8,517,094)	10,319,926	(26,752)	9,194,860
Other Financing Sources (Uses)					
Refunding revenue bonds issued	—	43,045,000	—	—	43,045,000
Payment to refunding bonds escrow agent	—	(48,033,623)	—	—	(48,033,623)
Transfers in	5,165	9,604,937	—	—	9,610,102
Transfers out	—	—	(9,604,937)	(5,165)	(9,610,102)
Total Other Financing Sources (Uses)	5,165	4,616,314	(9,604,937)	(5,165)	(4,988,623)
Change in Fund Balances	7,423,945	(3,900,780)	714,989	(31,917)	4,206,237
Fund Balances - Beginning of Year	11,470,366	16,537,007	7,699,813	3,004,620	38,711,806
Fund Balances - End of Year ..	\$ 18,894,311	\$ 12,636,227	\$ 8,414,802	\$ 2,972,703	\$ 42,918,043

See accompanying notes to the financial statements.

Reconciliation of the Statement of Revenue, Expenditures and Changes in Fund Balances - Governmental Funds to the Statement of Activities

Year Ended June 30, 2017

Change in Fund Balances - Total Governmental Funds (Page 19) \$ 4,206,237

Amounts reported for governmental activities in the statement of activities are different because:

Capital outlays to purchase or build capital assets are reported in the governmental funds as expenditures. However, those costs are not reported in the statement of activities and are allocated over their estimated useful lives as depreciation expense in the statement of activities. The amount of capital outlay expenditures and depreciation expense for the year is as follows:

Expenditures for capital outlay	\$ 1,210,921	
Depreciation expense	<u>(5,747,995)</u>	(4,537,074)

Certain statewide sales, services and use tax not collected for several months after year end is not considered available revenue and is recognized as deferred inflows of resources in the governmental funds..... (73,200)

Proceeds from issuing long-term debt provide current financial resources to governmental funds, but issuing debt increases long-term liabilities in the statement of net position. Repayment of long-term debt is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the statement of net position. Current year issuances and repayments are as follows:

Refunding revenue bonds issued.....	\$ (43,045,000)	
Payment to refunding bonds escrow agent.....	48,033,623	
Repayment of long-term debt.....	<u>4,930,000</u>	9,918,623

Interest on long-term debt in the statement of activities differs from the amount reported in the governmental funds because interest is recorded as an expenditure in the governmental funds when due. In the statement of activities, interest expense is recognized as the interest accrues, regardless of when it is due. 613,402

Amortization of the deferred amount on refunding bonds and premium on bonds payable did not provide or use current financial resources of the governmental funds but it decreases deferred outflows of resources and liabilities, respectively, in the statement of net position, as follows:

Amortization of deferred amount on refunding bonds	\$ (161,027)	
Amortization of premium on bonds payable	<u>200,754</u>	39,727

Reconciliation of the Statement of Revenue, Expenditures and Changes in Fund Balances - Governmental Funds to the Statement of Activities ————

Year Ended June 30, 2017

The current year District employer share of IPERS contributions is reported as expenditures in the governmental funds, but is reported as a deferred outflow of resources in the statement of net position.	\$ 6,455,464
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Some expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds, as follows:

Compensated absences	\$ 18,903	
Pension expense.....	(7,250,436)	
Net OPEB liability.....	(759,000)	(7,990,533)

An internal service fund is used by management to charge the costs of the District's print shop services to various entities and individuals. The change in net position of the internal service fund is reported in governmental activities....	(11,238)
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Change in Net Position of Governmental Activities (Page 16)	<u>\$ 8,621,408</u>
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Statement of Net Position - Proprietary Funds

As of June 30, 2017

	<u>Nonmajor Enterprise School Nutrition</u>	<u>Internal Service Print Shop</u>
Assets and Deferred Outflows of Resources		
Current Assets		
Cash, cash equivalents and investments	\$ 262,322	\$ 709
Accounts receivable	—	2,293
Due from other funds	352,383	—
Due from other governments	40,788	—
Inventories	44,310	23,635
Total Current Assets	<u>699,803</u>	<u>26,637</u>
Noncurrent Assets		
Capital assets, net of accumulated depreciation	<u>698,528</u>	<u>—</u>
Total Assets	<u>1,398,331</u>	<u>26,637</u>
Deferred Outflows of Resources		
Pension-related deferred outflows	<u>435,777</u>	<u>—</u>
Total Assets and Deferred Outflows of Resources	<u>\$ 1,834,108</u>	<u>\$ 26,637</u>
Liabilities, Deferred Inflows of Resources and Net Position		
Current Liabilities		
Accounts payable	\$ 6,253	\$ —
Salaries and benefits payable	139,647	—
Unearned revenue	41,490	—
Total Current Liabilities	<u>187,390</u>	<u>—</u>
Noncurrent Liabilities		
Net pension liability	<u>1,588,173</u>	<u>—</u>
Total Liabilities	<u>1,775,563</u>	<u>—</u>
Deferred Inflows of Resources		
Pension-related deferred inflows	<u>58,545</u>	<u>—</u>
Net Position		
Investment in capital assets	698,528	—
Unrestricted	(698,528)	26,637
Total Net Position	<u>—</u>	<u>26,637</u>
Total Liabilities, Deferred Inflows of Resources and Net Position	<u>\$ 1,834,108</u>	<u>\$ 26,637</u>

See accompanying notes to the financial statements.

Statement of Revenue, Expenses and Changes in Fund Net Position - Proprietary Funds

Year Ended June 30, 2017

	<u>Nonmajor Enterprise School Nutrition</u>	<u>Internal Service Print Shop</u>
Operating Revenue		
Local Sources		
Charges for service	\$ 1,280,671	\$ 220,561
Other receipts.....	14,139	—
Total Operating Revenue.....	<u>1,294,810</u>	<u>220,561</u>
Operating Expenses		
Noninstructional Programs		
Food Service and Print Shop Operations		
Salaries	1,941,823	104,986
Benefits	859,300	48,497
Purchased services	4,923	—
Supplies	3,148,480	78,316
Other	3,992	—
Depreciation	139,157	—
Total Operating Expenses	<u>6,097,675</u>	<u>231,799</u>
Loss From Operations	<u>(4,802,865)</u>	<u>(11,238)</u>
Nonoperating Revenue		
State sources.....	46,742	—
Federal sources.....	4,754,069	—
Interest on investments	1,150	—
Total Nonoperating Revenue	<u>4,801,961</u>	<u>—</u>
Loss Before Gains on Disposal of Capital Assets	<u>(904)</u>	<u>(11,238)</u>
Gain on Disposal of Capital Assets	<u>904</u>	<u>—</u>
Change in Net Position	<u>—</u>	<u>(11,238)</u>
Net Position - Beginning of Year	—	37,875
Net Position - End of Year	<u>\$ —</u>	<u>\$ 26,637</u>

See accompanying notes to the financial statements.

Statement of Cash Flows - Proprietary Funds

Year Ended June 30, 2017

	Nonmajor Enterprise School Nutrition	Internal Service Print Shop
Cash Flows From Operating Activities		
Cash received from sale of lunches and breakfasts	\$ 1,281,025	\$ —
Cash received from print shop services	—	224,126
Cash received from other	14,139	—
Cash paid to employees for services.....	(2,794,748)	(154,736)
Cash paid to suppliers for goods or services.....	<u>(2,742,178)</u>	<u>(68,681)</u>
Net Cash Provided by (Used in) Operating Activities	<u>(4,241,762)</u>	<u>709</u>
Cash Flows From Noncapital Financing Activities		
State grants received.....	46,742	—
Federal grants received.....	4,459,447	—
Proceeds or repayment received from interfund loans.....	3,902,173	—
Repayment of or provision for interfund loans.....	<u>(3,905,447)</u>	<u>—</u>
Net Cash Provided by Noncapital Financing Activities	<u>4,502,915</u>	<u>—</u>
Cash Flows From Capital and Related Financing Activities		
Proceeds from disposal of capital assets	1,000	—
Acquisition of capital assets	<u>(13,562)</u>	<u>—</u>
Net Cash Used in Capital and Related Financing Activities	<u>(12,562)</u>	<u>—</u>
Cash Flows From Investing Activities		
Interest on investments	<u>1,150</u>	<u>—</u>
Net Increase in Cash, Cash Equivalents and Investments	249,741	709
Cash, Cash Equivalents and Investments - Beginning of Year	<u>12,581</u>	<u>—</u>
Cash, Cash Equivalents and Investments - End of Year	<u>\$ 262,322</u>	<u>\$ 709</u>
Reconciliation of Loss From Operations to Net Cash Provided by (Used in) Operating Activities		
Loss from operations.....	\$ (4,802,865)	\$ (11,238)
Adjustments to Reconcile Loss From Operations to Net Cash Provided by (Used in) Operating Activities		
Commodities used	417,579	—
Depreciation	139,157	—
Changes in Assets and Liabilities		
Decrease in accounts receivable	—	3,565
Increase (decrease) in inventories	(8,006)	9,635
Increase in deferred outflows of resources	(215,334)	—
Increase in accounts payable.....	5,644	—
Increase (decrease) in salaries and benefits payable...	5,056	(1,253)
Increase in unearned revenue.....	354	—
Increase in net pension liability	270,199	—
Decrease in deferred inflows of resources	<u>(53,546)</u>	<u>—</u>
Net Cash Provided by (Used in) Operating Activities	<u>\$ (4,241,762)</u>	<u>\$ 709</u>

Noncash Investing, Capital and Related Financing Activities

During the year ended June 30, 2017, the District received \$409,291 of federal commodities.

See accompanying notes to the financial statements.

Statement of Fiduciary Net Position - Fiduciary Funds

As of June 30, 2017

	Private- Purpose Trust	
	Scholarship	Agency
Assets		
Cash	<u>\$ 1,692</u>	<u>\$ 31,253</u>
Liabilities and Net Position		
Liabilities		
Accounts payable	<u>\$ —</u>	<u>\$ 31,253</u>
Net Position		
Reserved for scholarships	<u>1,692</u>	<u>—</u>
Total Liabilities and Net Position	<u>\$ 1,692</u>	<u>\$ 31,253</u>

See accompanying notes to the financial statements.

Statement of Changes in Fiduciary Net Position - Fiduciary Funds

Year Ended June 30, 2017

	Private- Purpose Trust <u>Scholarship</u>
Additions	
Local Sources	
Contributions	<u>\$ 7,500</u>
Deductions	
Instruction	
Regular	
Scholarships awarded	<u>7,900</u>
Change in Net Position	(400)
Net Position - Beginning of Year	<u>2,092</u>
Net Position - End of Year	<u>\$ 1,692</u>

Notes to the Financial Statements

(1) Summary of Significant Accounting Policies

Waterloo Community School District is a political subdivision of the State of Iowa and operates public schools for children in grades pre-kindergarten through twelve. Additionally, the District also either operates or sponsors various adult education programs. These courses include remedial education as well as vocational and recreational courses. The geographic area served includes the Cities of Waterloo, Evansdale, Elk Run Heights, Raymond, Gilbertville and a portion of Cedar Falls, Iowa, and the surrounding predominate agricultural territory in Black Hawk County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

The District's financial statements are prepared in conformity with accounting principles generally accepted in the United States as prescribed by the Governmental Accounting Standards Board.

Reporting Entity

For financial reporting purposes, Waterloo Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body, and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on the District. The District has no material component units which meet the Governmental Accounting Standards Board criteria.

Jointly Governed Organizations

The District participates in a jointly governed organization that provides services to the District but does not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Black Hawk County Assessor's Conference Board.

Basis of Presentation

Government-Wide Financial Statements

The statement of net position and the statement of activities report information on all the nonfiduciary activities of the District. For the most part, the effect of interfund print shop activity from the Internal Service Fund has been removed from these statements. There was no material interfund service provided and used not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenue, are reported separately from business-type activities, which rely to a significant extent on fees and charges for service.

The statement of net position presents the District's nonfiduciary assets, deferred outflows of resources, liabilities and deferred inflows of resources, with the difference reported as net position. The District's fiduciary funds, the Agency and Private Purpose Trust Funds, have been excluded from these statements. Net position is reported in the following categories:

Net investment in capital assets consists of capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes and other debt that are attributed to the acquisition, construction or improvement of those assets. This balance also includes an adjustment for \$1,002,294 of unspent bond proceeds required to be held in reserves.

(1) Summary of Significant Accounting Policies

Restricted net position results when constraints placed on net position use are either externally imposed or imposed by law through constitutional provisions or enabling legislation. Enabling legislation did not result in any restricted net position.

Unrestricted net position consists of net position not meeting the definition of the preceding categories. Unrestricted net position is often subject to constraints imposed by management which can be removed or modified.

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenue. Direct expenses are those that are clearly identifiable with a specific function. Program revenue includes: (1) charges to customers or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and (2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenue are reported instead as general revenue.

Fund Financial Statements

Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds. Combining schedules are also included for the Capital Projects Fund accounts.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenue and other revenue not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenditures, including instructional, support and other costs.

The Debt Service Fund is utilized to account for property tax and other revenue to be used for the payment of interest and principal on the District's general long-term debt.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities and other capital assets.

The District reports the following nonmajor proprietary funds:

The Enterprise, School Nutrition Fund is used to account for the food service operations of the District.

The Internal Service, Print Shop Fund is utilized to account for printing services provided by the District.

(1) Summary of Significant Accounting Policies

The District also reports fiduciary funds which focus on net position and changes in net position. The District's fiduciary funds include the following:

The Private Purpose Trust Fund is used to account for assets held by the District under trust agreements which require income earned to be used to benefit individuals through scholarship awards.

The Agency Fund is used to account for assets held by the District as an agent for individuals and committees within the District for various designated purposes. The Agency Fund is custodial in nature, assets equal liabilities and does not involve measurement of results of operations.

Measurement Focus and Basis of Accounting

The government-wide and proprietary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenue is recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied. The trust and agency funds are custodial in nature and have no measurement focus; however, they use the accrual basis of accounting.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenue is recognized as soon as it is both measurable and available. Revenue is considered to be available when it is collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenue to be available if it is collected within 60 days after year end.

Property tax, intergovernmental revenue (shared revenue, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under the terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenue. Thus, when program expenses are incurred, there are both restricted and unrestricted net position available to finance the program. It is the District's policy and procedure to first apply cost-reimbursement grant resources to such programs, and then general revenue.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy and procedure is generally to first apply the expenditure toward restricted fund balance and then to less-restrictive classifications – committed, assigned and then unassigned fund balances.

(1) Summary of Significant Accounting Policies

Proprietary funds distinguish operating revenue and expenses from nonoperating items. Operating revenue and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenue of the District's Enterprise Fund is charges to customers for sales and services. Operating expenses for the Enterprise Fund include the cost of sales and services, administrative expenses and depreciation on capital assets. All revenue and expenses not meeting this definition are reported as nonoperating revenue and expenses.

The District maintains its financial records on the cash basis. The financial statements of the District are prepared by making memorandum adjusting entries to the cash basis financial records.

Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources and Fund Equity

The following accounting policies are followed in preparing the financial statements:

Cash, Cash Equivalents and Investments

The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for the investment in the Iowa Schools Joint Investment Trust which is valued at amortized cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash and, at the day of purchase, they have a maturity date no longer than three months.

Property Tax Receivable

Property tax in the governmental funds is accounted for using the modified accrual basis of accounting.

Property tax receivable is recognized in these funds on the levy or lien date, which is the date the tax asking is certified by the Board of Education. Delinquent property tax receivable represents unpaid taxes for the current and prior years. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is deferred in both the government-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

Property tax revenue recognized in these funds becomes due and collectible in September and March of the fiscal year with a 1-1/2% per month penalty for delinquent payments; is based on January 1, 2015 assessed property valuations; is for the tax accrual period July 1, 2016 through June 30, 2017; and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April, 2016.

Due From Other Governments

Due from other governments represents primarily amounts due from the State of Iowa, also included are amounts due for various shared revenue, grants and reimbursements from other governments.

Notes to the Financial Statements

(1) Summary of Significant Accounting Policies

Inventories

Inventories are valued at cost using the first-in, first-out (FIFO) method for purchased items and contributed value for government commodities. Inventories are recorded as expenses when consumed rather than when purchased or received in the government-wide financial statements and proprietary fund financial statements. In the governmental fund financial statements, inventories are accounted for using the consumption method whereby inventory acquisitions are recorded in inventory accounts when purchased and are charged to operations when consumed or sold.

Prepaid Items

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both the government-wide and fund financial statements on the consumption method.

Capital Assets

Capital assets, which include property, furniture and equipment are reported in the applicable governmental or business-type activities columns in the government-wide statement of net position. Capital assets are recorded at historical cost. Donated capital assets are recorded at acquisition value. Acquisition value is the price that would have been paid to acquire a capital asset with equivalent service potential. The cost of normal maintenance and repairs that do not add to the value of the asset or materially extend asset useful lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Land	\$ 5,000
Buildings and improvements	5,000
Improvements other than buildings	5,000
Furniture and Equipment	
School Nutrition Fund equipment	500
Other furniture and equipment	5,000

Capital assets are depreciated using the straight-line method over the following estimated useful lives:

Buildings and improvements	7 - 50 Years
Improvements other than buildings	20 - 30 Years
Furniture and equipment	5 - 25 Years

Deferred Outflows of Resources

Deferred outflows of resources represent a consumption of net position that applies to a future period(s) and will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of unrecognized items not yet charged to pension expense, contributions from the District after the measurement date but before the end of the District's reporting period and the deferred amount on refunding bonds resulting from the difference in the carrying value of refunded debt and the reacquisition price.

Salaries and Benefits Payable

Payroll and related expenditures for employees with annual contracts corresponding to the current school year, which are payable in July and August have been accrued as liabilities.

(1) Summary of Significant Accounting Policies

Compensated Absences

District employees accumulate a limited amount of earned but unused vacation for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the government-wide financial statements. A liability for these amounts is reported in governmental fund financial statements only for employees that have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect as of June 30, 2017. The compensated absences liability attributable to the governmental activities will be paid primarily by the General Fund.

Long-Term Liabilities

In the government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities column in the statement of net position. Bond premiums are amortized over the life of the bonds using the straight-line method. Refunding of debt may result in deferred gains or losses and are reported as deferred inflows and outflows of resources. The difference between the reacquisition price and the net carrying amount of the old debt is deferred and amortized as a component of long-term debt interest and fiscal charges using the straight-line method.

Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value. The net pension liability attributable to the governmental activities will be paid primarily by the General Fund.

Deferred Inflows of Resources

Deferred inflows of resources represent an acquisition of net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. Although certain revenue is measurable, it is not available. Available means collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the governmental fund financial statements represent the amount of assets that have been recognized, but the related revenue has not been recognized since the assets are not collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources consist of property tax receivable and other receivables not collected within 60 days after year end.

Deferred inflows of resources in the statement of net position consist of succeeding year property tax receivable that will not be recognized as revenue until the year for which it is levied and unrecognized items not yet charged to pension expense.

Fund Balances

In the governmental fund financial statements, fund balances are classified as follows:

Nonspendable - Amounts that cannot be spent because they are in nonspendable form or because they are legally or contractually required to be maintained intact.

Restricted - Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation. Enabling legislation did not result in any restricted fund balance.

Notes to the Financial Statements

(1) Summary of Significant Accounting Policies

Assigned - Amounts the Board of Education intends to use for specific purposes. It is the District's policy that the authority to assign fund balance has been delegated by the District's Board of Education to the Superintendent.

Unassigned - All amounts not included in the preceding classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. A negative unassigned fund balance may be reported in other governmental funds if expenditures incurred for specific purposes exceeded the amounts restricted, committed or assigned to those purposes.

Budgets and Budgetary Accounting

The budgetary comparison and related disclosures are reported as required supplementary information. During the year ended June 30, 2017, expenditures/expenses exceeded the amount budgeted in the support services function but the District did not exceed its General Fund unspent authorized budget.

Estimates and Assumptions

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets, deferred outflows of resources, liabilities, deferred inflows of resources and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenue and expenditures/expenses during the reporting period. Actual results could differ from those estimates.

Subsequent Events

Management has evaluated subsequent events through February 22, 2018, the date which the financial statements were available to be issued.

(2) Cash, Cash Equivalents and Investments

The District is authorized by statute to invest public funds in obligations of the United States Government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high-rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvements certificates of a drainage district.

As of June 30, 2017, the District had the following investments:

Investment	Fair Value	Maturity
U.S. Treasury Notes	\$ 1,136,804	May, 2025
U.S. Treasury Notes	5,991,401	July, 2025
	<u>\$ 7,128,205</u>	

Notes to the Financial Statements

(2) Cash, Cash Equivalents and Investments

The District uses the fair value hierarchy established by generally accepted accounting principles based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets. Level 2 inputs are significant other observable inputs. Level 3 inputs are significant unobservable inputs.

The recurring fair value measurement for the U.S. Treasury Notes of \$7,128,205 was determined using the last reported sales price at current exchange rates (Level 1 inputs).

As of June 30, 2017, the District had investments in the Iowa Schools Joint Investment Trust (ISJIT) Direct Government Obligations Portfolio which are valued at an amortized cost of \$451,718 pursuant to Rule 2a-7 under the Investment Company Act of 1940. There were no limitations or restrictions on withdrawals of the ISJIT investments. The value of the investment is the same as the value of the pool shares. The ISJIT is registered with and regulated by the Securities and Exchange Commission.

The District had no other investments meeting the disclosure requirements of Governmental Accounting Standards Board Statement No. 72.

Interest Rate Risk

The District's investment policy limits the investment of operating funds (funds expected to be expended in the current budget year or within 15 months of receipt) in instruments that mature within 397 days. Funds not identified as operating funds may be invested in investments with maturities longer than 397 days but the maturities shall be consistent with the needs and use of the District.

Credit Risk

The Board authorizes the District to invest funds in excess of current needs in interest-bearing savings, money market and checking accounts in the District's authorized depositories; the Iowa Schools Joint Investment Trust; obligations of the United States governments, its agencies and instrumentalities; and certificates of deposit and other evidences of deposit at federally insured Iowa depository institutions. The Iowa Schools Joint Investment Trust was rated AAAM by Standard & Poor's Financial Services. The District's policy does not further limit the District's investments in relation to credit risk.

Concentration of Credit Risk

The District's general investment policy is to apply the prudent-person rule: in making investments, the District shall exercise the care, skill, prudence and diligence under the circumstances then prevailing that a prudent person acting in a like capacity and familiar with such matters would use to meet the goals of the investment program.

The investments in the Iowa Schools Joint Investment Trust and U.S. Treasury Notes are not subject to concentration of credit risk.

Notes to the Financial Statements

(2) Cash, Cash Equivalents and Investments

Custodial Credit Risk

For deposits, custodial credit risk is the risk that in an event of a bank failure, the government's deposits may not be returned to it. For an investment, custodial credit risk is the risk that in the event of the failure of the counterparty, the District will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. The District does not have a formal policy for custodial credit risk.

The District's deposits in banks as of June 30, 2017 were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This chapter provides for additional assessments against the depositories to insure there will be no loss of public funds.

(3) Due From and Due to Other Funds

The detail of interfund receivables and payables as of June 30, 2017 is as follows:

Receivable Fund	Payable Fund	Amount
Capital Projects	General	<u>\$ 4,110</u>
Enterprise		
School Nutrition	General	301,743
	Special Revenue	
	Student Activity	<u>50,640</u>
		<u>352,383</u>
		<u>\$ 356,493</u>

The General and Special Revenue, Student Activity Funds are repaying the Capital Projects and Enterprise, School Nutrition Funds for various expenses not reimbursed before year end. The balances are to be repaid by June 30, 2018.

(4) Interfund Transfers

The detail of the interfund transfers for the year ended June 30, 2017 is as follows:

Transfer to	Transfer From	Amount
Debt Service	Capital Projects	<u>\$ 9,604,937</u>
General	Special Revenue	
	Management Levy	<u>5,165</u>
		<u>\$ 9,610,102</u>

Transfers are used to (1) move revenue from the fund that statute or budget requires to collect the resources to the fund that statute or budget requires to expend the resources or (2) use unrestricted revenue collected in a certain fund to finance various programs accounted for in other funds in accordance with budgetary authorization.

Notes to the Financial Statements

(5) Capital Assets

Capital assets activity for the year ended June 30, 2017 was as follows:

	Balance - Beginning of Year	Increases	Decreases	Balance - End of Year
Governmental Activities				
Capital Assets Not Being Depreciated				
Land	\$ 3,279,397	\$ 100,508	\$ —	\$ 3,379,905
Construction in progress	<u>506,400</u>	<u>1,190,542</u>	<u>1,264,010</u>	<u>432,932</u>
Total Capital Assets Not Being Depreciated.....	<u>3,785,797</u>	<u>1,291,050</u>	<u>1,264,010</u>	<u>3,812,837</u>
Capital Assets Being Depreciated				
Buildings and improvements..	214,073,738	805,645	121,439	214,757,944
Improvements other than buildings	9,709,077	94,732	—	9,803,809
Furniture and equipment.....	<u>13,277,345</u>	<u>283,504</u>	<u>561,504</u>	<u>12,999,345</u>
Total Capital Assets Being Depreciated.....	<u>237,060,160</u>	<u>1,183,881</u>	<u>682,943</u>	<u>237,561,098</u>
Less Accumulated Depreciation for				
Buildings and improvements..	54,763,875	4,714,787	121,438	59,357,224
Improvements other than buildings	3,720,972	430,403	—	4,151,375
Furniture and equipment.....	<u>9,410,230</u>	<u>602,805</u>	<u>561,505</u>	<u>9,451,530</u>
Total Accumulated Depreciation	<u>67,895,077</u>	<u>5,747,995</u>	<u>682,943</u>	<u>72,960,129</u>
Total Capital Assets Being Depreciated, Net	<u>169,165,083</u>	<u>(4,564,114)</u>	<u>—</u>	<u>164,600,969</u>
Governmental Activities				
Capital Assets, Net.....	<u>\$ 172,950,880</u>	<u>\$ (3,273,064)</u>	<u>\$ 1,264,010</u>	<u>\$ 168,413,806</u>
Business-Type Activities				
Furniture and equipment	\$ 3,715,338	\$ 13,562	\$ 4,607	\$ 3,724,293
Less accumulated depreciation ..	<u>2,891,119</u>	<u>139,157</u>	<u>4,511</u>	<u>3,025,765</u>
Business-Type Activities				
Capital Assets, Net.....	<u>\$ 824,219</u>	<u>\$ (125,595)</u>	<u>\$ 96</u>	<u>\$ 698,528</u>

Notes to the Financial Statements

(5) Capital Assets

The changes in capital assets used in the operation of governmental funds by function and activity as of June 30, 2017 are as follows:

Function and Activity	Balance - Beginning of Year	Increases	Decreases	Balance - End of Year
Education.....	\$ 234,050,630	\$ 2,414,327	\$ 1,946,953	\$ 234,518,004
Transportation	240,750	—	—	240,750
Maintenance	3,755,546	—	—	3,755,546
Administration.....	2,799,031	60,604	—	2,859,635
	<u>\$ 240,845,957</u>	<u>\$ 2,474,931</u>	<u>\$ 1,946,953</u>	<u>\$ 241,373,935</u>

The capital assets used in the operation of governmental funds by function and activity as of June 30, 2017 are as follows:

Function and Activity	Construction in Progress	Land and Improvements Other Than Buildings	Buildings and Improvements	Furniture and Equipment	Total
Education.....	\$ 432,932	\$ 12,659,897	\$ 213,831,002	\$ 7,594,173	\$ 234,518,004
Transportation	—	7,000	52,000	181,750	240,750
Maintenance	—	458,638	522,221	2,774,687	3,755,546
Administration.....	—	58,179	352,721	2,448,735	2,859,635
	<u>\$ 432,932</u>	<u>\$ 13,183,714</u>	<u>\$ 214,757,944</u>	<u>\$ 12,999,345</u>	<u>\$ 241,373,935</u>

Depreciation expense was charged to the following functions:

Governmental Activities

Instruction	
Regular.....	\$ 27,890
Special	1,793
Vocational	18,575
Other	56,429
Support Services	
Student.....	295
General administration	1,304
School administration.....	623
Business and central administration	97,967
Operation and maintenance of plant.....	225,913
Transportation	5,000
Unallocated.....	5,312,206
Total Depreciation Expense - Governmental Activities	<u>\$ 5,747,995</u>

Business-Type Activities

Food Service Operations.....	<u>\$ 139,157</u>
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Notes to the Financial Statements

(6) Long-Term Liabilities

Changes in long-term liabilities for the year ended June 30, 2017 are summarized as follows:

	Balance - Beginning of Year	Additions	Reductions	Balance - End of Year	Due Within One Year
Governmental Activities					
Revenue bonds	\$ 75,754,539	\$ 43,045,000	\$ 49,260,000	\$ 69,539,539	\$ 6,364,000
Unamortized premium on bonds payable	335,015	—	200,754	134,261	26,852
Compensated absences.....	352,413	333,510	352,413	333,510	250,132
Net pension liability	52,553,634	11,430,045	—	63,983,679	—
Net OPEB liability ...	4,048,000	1,268,000	509,000	4,807,000	—
Total	\$ 133,043,601	\$ 56,076,555	\$ 50,322,167	\$ 138,797,989	\$ 6,640,984
Business-Type Activities					
Net pension liability	\$ 1,317,974	\$ 270,199	\$ —	\$ 1,588,173	\$ —

Revenue Bonds

Details of the District's June 30, 2017 statewide sales, services and use tax revenue (and refunding) bonded indebtedness are as follows:

	Bonds Issued April 26, 2011 - Series B					Bonds Issued April 22, 2013		
	Original Issue Amount - \$16,379,539					Original Issue Amount - \$10,000,000		
Year Ending June 30,	Interest Rate	Principal	Interest	Credit	Interest Net of Credit	Interest Rate	Principal	Interest
2018	5.85%	\$ —	\$ 958,203	\$ (884,495)	\$ 73,708	2.00%	\$ 975,000	\$ 135,213
2019	5.85	—	958,203	(884,495)	73,708	2.00	990,000	115,562
2020	5.85	—	958,203	(884,495)	73,708	2.00	1,000,000	95,663
2021	5.85	—	958,203	(884,495)	73,708	2.00	1,010,000	75,562
2022	5.85	—	958,203	(884,495)	73,708	2.00	1,030,000	55,163
2023-2027 .	5.85	16,379,539	3,353,711	(3,095,733)	257,978	2.00 - 2.25	2,110,000	46,394
2028-2029 .		—	—	—	—		—	—
Total		<u>\$ 16,379,539</u>	<u>\$ 8,144,726</u>	<u>\$ (7,518,208)</u>	<u>\$ 626,518</u>		<u>\$ 7,115,000</u>	<u>\$ 523,557</u>
	Bonds Issued June 30, 2015					Bonds Issued January 13, 2017		
	Original Issue Amount - \$5,060,000					Original Issue Amount - \$43,045,000		
Year Ending June 30,	Interest Rate	Principal	Interest	Interest Rate	Principal	Interest		
2018	2.50%	\$ 3,000,000	\$ 37,500	2.65%	\$ 2,389,000	\$ 1,071,015		
2019		—	—	2.65	2,868,000	1,039,383		
2020		—	—	2.65	2,966,000	962,083		
2021		—	—	2.65	2,960,000	883,563		
2022		—	—	2.65	2,954,000	805,203		
2023-2027 .		—	—	2.65	18,129,000	2,746,871		
2028-2029 .		—	—	2.65	10,779,000	286,742		
Total		<u>\$ 3,000,000</u>	<u>\$ 37,500</u>		<u>\$ 43,045,000</u>	<u>\$ 7,794,860</u>		

Notes to the Financial Statements

(6) Long-Term Liabilities

Year Ending June 30,	Total		
	Principal	Interest Net of Credit	Total
2018	\$ 6,364,000	\$ 1,317,436	\$ 7,681,436
2019	3,858,000	1,228,653	5,086,653
2020	3,966,000	1,131,454	5,097,454
2021	3,970,000	1,032,833	5,002,833
2022	3,984,000	934,074	4,918,074
2023-2027	36,618,539	3,051,243	39,669,782
2028-2029	10,779,000	286,742	11,065,742
Total	<u>\$ 69,539,539</u>	<u>\$ 8,982,435</u>	<u>\$ 78,521,974</u>

The District has pledged future statewide sales, services and use tax revenue to repay the \$110,885,000 of bonds issued in April, 2011 (Series A), April, 2013, June, 2015 and January, 2017. The bonds were issued for the purpose of financing a portion of the costs associated with site acquisition, construction, reconstruction, remodeling and refurbishing certain District facilities, refunding certain District outstanding statewide sales, services and use tax revenue bonds and paying the costs of issuing the bonds. The bonds are payable solely from proceeds of the statewide sales, services and use tax revenue received by the District. The bonds are not a general obligation of the District. However, the debt is subject to the constitutional debt limitation of the District. The total principal and interest remaining to be paid on the bonds is \$61,515,917. For the current year, principal of \$4,930,000 and interest of \$2,437,963 was paid on the bonds.

The refunding bonds issued in January, 2017 were used to advance refund the Series A bonds issued in April, 2011. The District approved a refunding trust agreement with its refunding trustee which required the District to transfer cash of \$5,278,000 which had been held in reserves for the 2011 Series A bonds and issue \$43,045,000 of refunding bonds. The trustee agreed to accept the cash and bond proceeds, invest the funds and call and retire the remaining outstanding principal of \$44,330,000 plus interest. The 2011 Series A original issue amount was \$52,780,000. At closing, \$42,755,623 of bond proceeds and \$5,278,000 of District cash was wire transferred directly to the refunding trust to purchase certain direct obligations of the United States Government which will mature at such times and in such amounts, including investment income therefrom, as will be sufficient to pay all of the principal and interest on the previously issued bonds. The refunding will save the District \$5,360,305 over the life of the bonds and resulted in an economic gain of \$3,990,198.

The District has also pledged future statewide sales, services and use tax revenue to repay the \$16,379,539 of qualified school construction bonds Series B (direct pay) issued in April, 2011. The bonds were issued for the purpose of financing a portion of the costs associated with site acquisition and construction of a new elementary school. The bonds are payable solely from proceeds of the statewide sales, services and use tax revenue received by the District and mature July 1, 2025. The bonds have an interest rate of 5.85% but the District is entitled to a credit from the federal government at a rate of 5.4% (Build America Bonds). The District must remit interest net of any credits received to the bondholder semi-annually. The bonds are not a general obligation of the District. However, the debt is subject to the constitutional debt limitation of the District. The total principal and interest net of credits remaining to be paid on the bonds is \$17,006,057. For the current year, no principal and interest net of credit of \$134,738 was paid on the bonds.

Notes to the Financial Statements

(6) Long-Term Liabilities

Annual principal and interest payments on all outstanding bonds are expected to require nearly 54% of the statewide sales, services and use tax revenue. For the current year, total statewide sales, services and use tax revenue was \$10,477,446.

The resolutions providing for the issuance of the statewide, sales, services and use tax revenue (and refunding) bonds include the following provisions:

- a. The proceeds from the issuance of the bonds be used to pay off any remaining principal and interest due on the 2011 Series A bonds (2017 Series only).
- b. 10% of the proceeds from the issuance of the revenue bonds (Series 2013 only) shall be deposited to a reserve account to be used solely for the purpose of paying principal and interest on the bonds if insufficient money is available in the sinking account. The balance of the proceeds shall be deposited to the project account.
- c. All proceeds from the statewide sales, services and use tax shall be placed in a revenue account.
- d. Monies in the revenue account shall be disbursed to make deposits into a sinking account to pay the principal and interest requirements of the revenue bonds for the fiscal year.
- e. Any monies remaining in the revenue account after the required transfer to the sinking account may be transferred to the project account to be used for any lawful purpose.

The District complied with all of the revenue bond provisions during the year ended June 30, 2017.

The District did not exceed its legal debt margin as of June 30, 2017, as follows:

Total Assessed Valuation	<u>\$ 4,182,838,361</u>
Debt limit (5% of total assessed valuation).....	\$ 209,141,918
Amount of debt applicable to debt limit (total bonded debt)	(69,539,539)
Excess of Debt Limit Over Bonded Debt Outstanding (Legal Debt Margin)	<u>\$ 139,602,379</u>

(7) Pension and Retirement Benefits

Plan Description

Iowa Public Employees' Retirement System (IPERS) membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple-employer defined benefit pension plan administered by IPERS. IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive, P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code Chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

(7) Pension and Retirement Benefits

Pension Benefits

A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, anytime after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. (These qualifications must be met on the member's first month of entitlement to benefits.) Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a regular member's monthly IPERS benefit includes:

- A multiplier (based on years of service).
- The member's highest five-year average salary. (For members with service before June 30, 2012, the highest three-year average salary as of that date will be used if it is greater than the highest five-year average salary.)

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25% for each month that the member receives benefits before the member's earliest normal retirement age. For service earned starting July 1, 2012, the reduction is 0.50% for each month that the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July, 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits

A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions

Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to one percentage point. IPERS' Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

Notes to the Financial Statements

(7) Pension and Retirement Benefits

In fiscal year 2017, pursuant to the required rate, regular members contributed 5.95% of covered payroll and the District contributed 8.93% for a total rate of 14.88%.

The District's contributions to IPERS for the year ended June 30, 2017 were \$6,627,148.

Net Pension Liabilities, Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

As of June 30, 2017, the District reported a liability of \$65,571,852 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2016, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. As of June 30, 2016, the District's proportion was 1.041929% which was a decrease of 0.048483% from its proportion measured as of June 30, 2015.

For the year ended June 30, 2017, the District recognized pension expense of \$7,423,439. As of June 30, 2017, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 579,526	\$ 782,573
Changes of assumptions	1,000,423	—
Net difference between projected and actual earnings on IPERS investments	9,341,917	—
Changes in proportion and differences between District contributions and proportionate share of contributions	314,701	1,698,714
District contributions subsequent to the measurement date	6,627,148	—
Total	<u>\$ 17,863,715</u>	<u>\$ 2,481,287</u>

\$6,627,148 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2018. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ending June 30,	
2018	\$ 905,242
2019	905,242
2020	4,662,713
2021	2,443,830
2022	(161,747)
Total	<u>\$ 8,755,280</u>

There were no nonemployer contributing entities to IPERS.

Notes to the Financial Statements

(7) Pension and Retirement Benefits

Actuarial Assumptions

The total pension liability in the June 30, 2016 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of inflation (effective June 30, 2014)	3% per annum.
Salary increases (effective June 30, 2010)	4% to 17%, average, including inflation. Rates vary by membership group.
Investment rate of return (effective June 30, 1996)	7.5% per annum, compounded annually, net of investment expense, including inflation.
Wage growth (effective June 30, 1990)	4% per annum, based on 3% inflation assumption and 1.00% real wage inflation.

The actuarial assumptions used in the June 30, 2016 valuation were based on the results of actuarial experience studies with dates corresponding to those listed above.

Mortality rates were based on the RP-2000 Mortality Table for Males or Females, as appropriate, with adjustments for mortality improvements based on Scale AA.

The long-term expected rate of return on IPERS investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Core Plus Fixed Income	28%	1.90%
Domestic Equity	24	5.85
International Equity	16	6.32
Private Equity/Debt	11	10.31
Real Estate	8	3.87
Credit Opportunities	5	4.48
U.S. TIPS	5	1.36
Other Real Assets	2	6.42
Cash	1	(0.26)
Total	<u>100%</u>	

(7) Pension and Retirement Benefits

Discount Rate

The discount rate used to measure the total pension liability was 7.5%. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, IPERS' fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on IPERS' investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate

The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.5%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is one percentage point lower (6.5%) or one percentage point higher (8.5%) than the current rate.

	1% Decrease (6.5%)	Discount Rate (7.5%)	1% Increase (8.5%)
District's proportionate share of the net pension liability	\$106,086,384	\$65,571,852	\$31,377,058

Pension Plan Fiduciary Net Position

Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

Payables to the Pension Plan

As of June 30, 2017, the District reported payables to the defined benefit pension plan of \$570,603 for legally required employer contributions and \$380,189 for legally required employee contributions withheld from employee wages but not yet remitted to IPERS.

(8) Contingent Liability for Sick Leave Time

District employees accumulate sick leave hours for subsequent use. These accumulations do not vest and therefore are not recognized as liabilities of the District until used by employees. The District's contingent liability for employee sick leave as of June 30, 2017 was approximately \$14,200,000.

(9) Risk Management

The District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years. There were no significant reductions in insurance coverage from the prior year.

(10) Area Education Agency Support

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the Area Education Agency. The District's actual amount for this purpose totaled \$5,152,367 for the year ended June 30, 2017, and is recorded in the General Fund by making a memorandum adjusting entry to the cash basis financial statements.

(11) Early Retirement Plan

The District offers a voluntary early retirement plan to its administrative support staff and administrators. The application for early retirement is subject to approval by the Board of Education.

The District provides a one-time supplemental benefit payment for administrative support staff and administrators. The District offers the plan on an annual basis. To be eligible for the benefit, the administrative support staff or administrator must have attained age 55 by August 1, have completed 13 years of service with the District and have submitted application for retirement by March 31. In addition, for administrators to qualify, at least ten of the years of service must have been as an administrator. Benefits are computed as 30%-40% of salary based on age at retirement. The administrative support staff and administrators are also eligible to continue participation in the District's group health insurance program to age 65, as described in Note 12.

As of June 30, 2017, five employees requested early retirement under the fiscal year 2017 incentive. The District had no remaining obligation for this incentive as the one-time payment was made during the year.

Early retirement expenditures for the year ended June 30, 2017 totaled \$127,489.

The early retirement plan liability is liquidated by the Management Fund, a nonmajor governmental fund.

(12) Other Postemployment Benefits (OPEB)

Plan Description

The District operates a single-employer health benefit plan which provides medical/prescription drug and dental benefits for employees, retirees and their spouses. There are 1,590 active and 60 retired members in the plan. Retired participants must be age 55 or older at retirement. The plan does not issue a stand-alone financial report.

The medical/prescription drug benefits are provided through a fully insured plan with Wellmark. The dental benefit is administered by Delta Dental. Retirees under age 65 pay the same premium for the medical/prescription drug benefits as active employees, which results in an implicit subsidy rate and an OPEB liability. There is no subsidy or OPEB liability associated with the dental benefit.

Funding Policy

The contribution requirements of plan members are established and may be amended by the District. The District currently finances the retiree benefit plan on a pay-as-you-go basis liquidated primarily through the General Fund.

Notes to the Financial Statements

(12) Other Postemployment Benefits (OPEB)

Annual OPEB Cost and Net OPEB Obligation

The District's annual OPEB cost is calculated based on the annual required contribution (ARC) of the District, an amount actuarially determined in accordance with GASB Statement No. 45. The ARC represents a level of funding which, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any unfunded actuarial liabilities over a period not to exceed 30 years.

The following table shows the components of the District's annual OPEB cost for the year ended June 30, 2017, the amount actually contributed to the plan and changes in the District's net OPEB obligation:

Annual required contribution.....	\$ 1,251,000
Interest on net OPEB obligation	162,000
Adjustment to annual required contribution	<u>(145,000)</u>
Annual OPEB Cost	1,268,000
Contributions made	<u>(509,000)</u>
Increase in Net OPEB Obligation.....	759,000
Net OPEB Obligation - Beginning of Year	4,048,000
Net OPEB Obligation - End of Year.....	<u>\$ 4,807,000</u>

For calculation of the net OPEB obligation, the actuary has set the transition day as July 1, 2008. The end of year net OPEB obligation was calculated by the actuary as the cumulative difference between the actuarially determined funding requirements and the actual contributions for the year ended June 30, 2017.

For the year ended June 30, 2017, the District contributed \$509,000 to the medical plan. Plan members eligible for benefits contributed \$44,622, or 8.1%, of the premium costs.

The District's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan and the net OPEB obligation are summarized as follows:

Year Ended	Annual OPEB Cost	Percentage of Annual OPEB Cost Contributed	Net OPEB Obligation
June 30, 2015	\$ 1,018,000	49.6%	\$ 3,719,000
June 30, 2016	1,020,000	67.7	4,048,000
June 30, 2017	1,268,000	40.1	4,807,000

Funded Status and Funding Progress

As of July 1, 2016, the most recent actuarial valuation date for the period of July 1, 2016 through June 30, 2017, the actuarial accrued liability was \$10.753 million, with no actuarial value of assets, resulting in an unfunded actuarial accrued liability (UAAL) of \$10.753 million. The covered payroll (annual payroll of active employees covered by the plan) was \$68.901 million and the ratio of the UAAL to covered payroll was 15.6%. As of June 30, 2017, there were no trust fund assets.

Notes to the Financial Statements

(12) Other Postemployment Benefits (OPEB)

Actuarial Methods and Assumptions

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality and the healthcare cost trend. Actuarially determined amounts are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The schedule of funding progress for the retiree health plan, presented as required supplementary information in the section following the notes to the financial statements, presents multiyear trend information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

Projections of benefits for financial reporting purposes are based on the plan as understood by the employer and the plan members and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

As of the July 1, 2016 actuarial valuation date, the projected unit credit actuarial cost method was used. The actuarial assumptions include a 4.0% discount rate based on the District's funding policy. The projected annual medical trend rate is 7.0%. The ultimate medical trend rate is 4.5%. The medical trend rate is reduced by 0.5% each year until reaching the 4.5% ultimate trend rate. An inflation rate of 3.0% is assumed for the purpose of this computation.

Mortality rates are from the RP-2014 Generational Table using MP 2017 Projection Scale, applied on a gender-specific basis. Annual retirement and termination probabilities were developed from the retirement probabilities from the IPERS Actuarial Report as of June 30, 2016 and applying the termination factors used in IPERS Actuarial Report as of June 30, 2016.

Projected claim costs of the medical plan are \$986 per month for retirees and spouses age 60. The salary increase rate was assumed to be 3.5% per year. The UAAL is being amortized as a level percentage of projected payroll expense on an open basis over 30 years.

(13) Categorical Funding

The District's restricted fund balance for categorical funding as of June 30, 2017 is comprised of the following programs:

Early literacy	\$ 25,904
Educator quality, professional development.....	296,008
Iowa Early Intervention Block Grant	10,307
Professional development for model core curriculum.....	63,358
Statewide voluntary 4-year-old preschool program	324,285
Teacher leadership.....	124,819
Textbook aid for nonpublic students.....	1,987
Total	<u>\$ 846,668</u>

Notes to the Financial Statements

(14) Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenue that results from an agreement between one or more governments and an individual entity in which (a) one or more governments promise to forgo tax revenue to which they are otherwise entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

Tax Abatements of Other Entities

Property tax revenue of the District were reduced by the following amounts for the year ended June 30, 2017 under agreements entered into by the following entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Evansdale	Urban Renewal and Economic Development Projects	\$ 10,879
City of Raymond	Urban Renewal and Economic Development Projects	29,761
City of Waterloo	Urban Renewal and Economic Development Projects	546,009

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2017, there were no material reimbursements.

(15) Commitments

The District has entered into agreements with various companies for nursing, management of the District's food service operations and operation of the District's student transportation services. Terms of the agreements range from one to five years, and all agreements contain provisions for renewal.

The District has entered into various contracts for several projects which are primarily being funded by the statewide sales, services and use tax. The projects include a renovation of Central Middle School and other various projects. As of June 30, 2017, the remaining commitment on these contracts was approximately \$1,376,000 and will be paid as work on the projects progress.

(16) Prospective Accounting Change

The Governmental Accounting Standards Board has issued Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other than Pensions*. This statement will be implemented for the fiscal year ending June 30, 2018. The revised requirements establish new financial reporting requirements for state and local governments which provide their employees with postemployment benefits other than pensions, including additional note disclosures and required supplementary information. In addition, the statement of net position is expected to include a significant liability for the government's other postemployment benefits.

Required Supplementary Information

Schedule of Budgetary Comparison of Revenue, Expenditures/Expenses and Changes in Balances - Budget to Actual - All Governmental Funds and Proprietary Fund

Year Ended June 30, 2017

	<u>Actual</u>			<u>Budgeted Amounts</u>		
	<u>Govern- mental Funds</u>	<u>Proprietary Fund</u>	<u>Total</u>	<u>Original</u>	<u>Final</u>	<u>Over (Under) Budget</u>
Revenue						
Local sources	\$ 45,103,777	\$ 1,295,960	\$ 46,399,737	\$ 46,395,498	\$ 46,395,498	\$ 4,239
State sources	93,075,350	46,742	93,122,092	94,089,971	94,089,971	(967,879)
Federal sources	<u>9,418,824</u>	<u>4,754,069</u>	<u>14,172,893</u>	<u>15,460,000</u>	<u>15,460,000</u>	<u>(1,287,107)</u>
Total Revenue	<u>147,597,951</u>	<u>6,096,771</u>	<u>153,694,722</u>	<u>155,945,469</u>	<u>155,945,469</u>	<u>(2,250,747)</u>
Expenditures/Expenses						
Instruction.....	80,303,099	—	80,303,099	90,200,000	90,200,000	(9,896,901)
Support services	40,153,872	—	40,153,872	39,950,100	39,950,100	203,772
Noninstructional programs ..	810,060	6,097,675	6,907,735	7,050,000	7,050,000	(142,265)
Other expenditures.....	<u>17,136,060</u>	<u>—</u>	<u>17,136,060</u>	<u>20,938,456</u>	<u>70,154,088</u>	<u>(53,018,028)</u>
Total Expenditures/ Expenses.....	<u>138,403,091</u>	<u>6,097,675</u>	<u>144,500,766</u>	<u>158,138,556</u>	<u>207,354,188</u>	<u>(62,853,422)</u>
Revenue Over (Under) Expenditures/Expenses..	9,194,860	(904)	9,193,956	(2,193,087)	(51,408,719)	60,602,675
Other Financing Sources (Uses) (Net)	<u>(4,988,623)</u>	<u>904</u>	<u>(4,987,719)</u>	<u>—</u>	<u>—</u>	<u>(4,987,719)</u>
Revenue and Other Financing Sources Over (Under) Expenditures/ Expenses and Other Financing Uses	4,206,237	—	4,206,237	(2,193,087)	(51,408,719)	<u>\$55,614,956</u>
Balance - Beginning of Year	<u>38,711,806</u>	<u>—</u>	<u>38,711,806</u>	<u>33,967,610</u>	<u>33,967,610</u>	
Balance - End of Year	<u>\$ 42,918,043</u>	<u>\$ —</u>	<u>\$ 42,918,043</u>	<u>\$ 31,774,523</u>	<u>\$ (17,441,109)</u>	

Notes to Required Supplementary Information - Budgetary Reporting ---

Year Ended June 30, 2017

This budgetary comparison is presented as required supplementary information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major special revenue fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds, except internal service, private-purpose trust and agency funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on a GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund. These four functions are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the year, the District adopted one budget amendment increasing budgeted expenditures/expenses by \$49,215,632.

During the year ended June 30, 2017, expenditures/expenses exceeded the amount budgeted in the support services function but the District did not exceed its General Fund unspent authorized budget.

Schedule of Proportionate Share of the Net Pension Liability

Iowa Public Employees' Retirement System

Last Three Years*

	2017	2016	2015
District's proportion of the net pension liability	1.041929%	1.090412%	1.075909%
District's proportionate share of the net pension liability	\$65,571,852	\$53,871,608	\$43,542,944
District's covered-employee payroll.....	\$74,825,000	\$75,555,000	\$71,790,000
District's proportionate share of the net pension liability as a percentage of its covered-employee payroll.....	87.63%	71.30%	60.65%
Plan fiduciary net position as a percentage of the total pension liability	81.82%	85.19%	87.61%

* The amounts presented for each fiscal year were determined as of June 30 of the preceding year.

Note: GASB Statement No. 68 requires ten years of information to be presented in this table. However, until a full ten-year trend is compiled, the District will present information for those years for which information is available.

Schedule of Contributions

Iowa Public Employees' Retirement System

Last Ten Years

	2017	2016	2015	2014	2013	2012	2011	2010	2009	2008
Statutorily required contribution.....	\$ 6,627,148	\$ 6,681,892	\$ 6,747,022	\$ 6,410,808	\$ 6,146,168	\$ 5,538,069	\$ 4,461,095	\$ 4,110,440	\$ 3,717,336	\$ 3,339,429
Contributions in relation to the statutorily required contributions	<u>(6,627,148)</u>	<u>(6,681,892)</u>	<u>(6,747,022)</u>	<u>(6,410,808)</u>	<u>(6,146,168)</u>	<u>(5,538,069)</u>	<u>(4,461,095)</u>	<u>(4,110,440)</u>	<u>(3,717,336)</u>	<u>(3,339,429)</u>
Contribution Deficiency (Excess).....	<u>\$ —</u>	<u>\$ —</u>	<u>\$ —</u>	<u>\$ —</u>	<u>\$ —</u>	<u>\$ —</u>	<u>\$ —</u>	<u>\$ —</u>	<u>\$ —</u>	<u>\$ —</u>
District's covered-employee payroll.....	\$ 74,212,000	\$ 74,825,000	\$ 75,555,000	\$ 71,790,000	\$ 70,890,000	\$ 68,711,000	\$ 64,188,000	\$ 61,811,000	\$ 58,541,000	\$ 55,197,000
Contributions as a percentage of covered-employee payroll	8.93%	8.93%	8.93%	8.93%	8.67%	8.06%	6.95%	6.65%	6.35%	6.05%

Notes to Required Supplementary Information - Pension Liability ---

Year Ended June 30, 2017

Changes of Benefit Terms

Legislation passed in 2010 modified benefit terms for current regular members. The definition of final average salary changed from the highest three to the highest five years of covered wages. The vesting requirement changed from four years of service to seven years. The early retirement reduction increased from 3% per year measured from the member's first unreduced retirement age to a 6% reduction for each year of retirement before age 65.

In 2008, legislative action transferred four groups – emergency medical service providers, county jailers, county attorney investigators and National Guard installation security officers – from regular membership to the protection occupation group for future service only.

Changes of Assumptions

The 2014 valuation implemented the following refinements as a result of a quadrennial experience study:

- Decreased the inflation assumption from 3.25% to 3.00%.
- Decreased the assumed rate of interest on member accounts from 4.00% to 3.75% per year.
- Adjusted male mortality rates for retirees in the regular membership group.
- Moved from an open 30-year amortization period to a closed 30-year amortization period for the unfunded actuarial liability (UAL) beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20-year period.

The 2010 valuation implemented the following refinements as a result of a quadrennial experience study:

- Adjusted retiree mortality assumptions.
- Modified retirement rates to reflect fewer retirements.
- Lowered disability rates at most ages.
- Lowered employment termination rates.
- Generally increased the probability of terminating members receiving a deferred retirement benefit.
- Modified salary increase assumptions based on various service duration.

Schedule of Funding Progress for the Retiree Health Plan ---

Year Ended June 30,	Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liability (AAL) (b)	Unfunded AAL (UAAL) (b-a)	Funded Ratio (a/b)	Covered Payroll (c)	UAAL as a Percentage of Covered Payroll [(b-a)/c]
2009	7-1-08	—	\$ 10,796,000	\$ 10,796,000	0%	\$ 50,106,000	21.5%
2010	7-1-08	—	10,796,000	10,796,000	0	50,106,000	21.5
2011	7-1-10	—	7,325,000	7,325,000	0	60,240,000	12.2
2012	7-1-10	—	7,325,000	7,325,000	0	60,240,000	12.2
2013	7-1-12	—	7,112,000	7,112,000	0	65,305,000	10.9
2014	7-1-12	—	7,112,000	7,112,000	0	65,851,000	10.8
2015	7-1-14	—	9,073,000	9,073,000	0	69,496,000	13.1
2016	7-1-14	—	9,073,000	9,073,000	0	69,334,000	13.1
2017	7-1-16	—	10,753,000	10,753,000	0	68,901,000	15.6

See Note 12 in the accompanying notes to the financial statements for the plan description, funding policy, annual OPEB cost, net OPEB obligation, funded status and funding progress.

Supplementary Information



Nonmajor Governmental Funds - Description of Funds ---

Special Revenue Funds

Special revenue funds are used to account for specific revenue that is legally restricted to expenditures for particular purposes.

Student Activity Fund	This fund accounts for the funds raised by student groups. Under state law, the Board retains responsibility for the Student Activity Fund's ultimate disposition.
Management Levy Fund	This fund accounts for the resources accumulated and payments made for property insurance, fidelity bonds, worker compensation, liability insurance premiums, unemployment insurance claims and early retirement incentives.

Combining Balance Sheet - Nonmajor Governmental Funds

As of June 30, 2017

	<u>Special Revenue</u>		
	<u>Student Activity</u>	<u>Management Levy</u>	<u>Total</u>
Assets			
Cash, cash equivalents and investments	\$ 1,239,259	\$ 1,748,428	\$ 2,987,687
Receivables, Net of Allowance for Uncollectible Amounts			
Property Tax			
Current year delinquent	—	13,636	13,636
Succeeding year	—	1,499,997	1,499,997
Due from other governments	—	99	99
Prepaid items	—	21,922	21,922
Total Assets	<u>\$ 1,239,259</u>	<u>\$ 3,284,082</u>	<u>\$ 4,523,341</u>
Liabilities, Deferred Inflows of Resources and Fund Balances			
Liabilities			
Accounts payable	\$ —	\$ 1	\$ 1
Due to other funds	50,640	—	50,640
Total Liabilities	<u>50,640</u>	<u>1</u>	<u>50,641</u>
Deferred Inflows of Resources			
Unavailable Revenue			
Succeeding year property tax	—	1,499,997	1,499,997
Fund Balances			
Nonspendable			
Prepaid items	—	21,922	21,922
Restricted for			
Student activities	1,188,619	—	1,188,619
Management levy purposes	—	1,762,162	1,762,162
Total Fund Balances	<u>1,188,619</u>	<u>1,784,084</u>	<u>2,972,703</u>
Total Liabilities, Deferred Inflows of Resources and Fund Balances	<u>\$ 1,239,259</u>	<u>\$ 3,284,082</u>	<u>\$ 4,523,341</u>

Combining Statement of Revenue, Expenditures and Changes in Fund Balances - Nonmajor Governmental Funds

Year Ended June 30, 2017

	<u>Special Revenue</u>		
	<u>Student Activity</u>	<u>Management Levy</u>	<u>Total</u>
Revenue			
Local Sources			
Local tax	\$ —	\$ 1,492,335	\$ 1,492,335
Other.....	1,786,837	47,283	1,834,120
State sources.....	—	57,576	57,576
Total Revenue	<u>1,786,837</u>	<u>1,597,194</u>	<u>3,384,031</u>
Expenditures			
Current			
Instruction			
Regular	—	721,151	721,151
Special.....	—	15,865	15,865
Other.....	<u>1,781,086</u>	<u>—</u>	<u>1,781,086</u>
Total Instruction	<u>1,781,086</u>	<u>737,016</u>	<u>2,518,102</u>
Support Services			
Student	—	24,153	24,153
Instructional staff	—	49,554	49,554
General administration	—	7,546	7,546
School administration	—	29,833	29,833
Business and central administration	—	67,396	67,396
Operation and maintenance of plant	<u>—</u>	<u>697,562</u>	<u>697,562</u>
Total Support Services	<u>—</u>	<u>876,044</u>	<u>876,044</u>
Noninstructional Programs	<u>—</u>	<u>16,637</u>	<u>16,637</u>
Total Expenditures	<u>1,781,086</u>	<u>1,629,697</u>	<u>3,410,783</u>
Revenue Over (Under) Expenditures	<u>5,751</u>	<u>(32,503)</u>	<u>(26,752)</u>
Other Financing Sources			
Transfers out	<u>—</u>	<u>(5,165)</u>	<u>(5,165)</u>
Change in Fund Balances.....	5,751	(37,668)	(31,917)
Fund Balances - Beginning of Year.....	<u>1,182,868</u>	<u>1,821,752</u>	<u>3,004,620</u>
Fund Balances - End of Year	<u>\$ 1,188,619</u>	<u>\$ 1,784,084</u>	<u>\$ 2,972,703</u>

Schedule of Changes in Special Revenue Fund, Student Activity Accounts —

Year Ended June 30, 2017

Account	Balance - Beginning of Year	Revenue	Expenditures	Balance - End of Year
High Schools				
East.....	\$ 320,666	\$ 491,230	\$ 487,917	\$ 323,979
Expo.....	41,703	50,668	45,168	47,203
West.....	282,000	663,619	617,126	328,493
Middle Schools				
Bunger	63,669	37,751	42,629	58,791
Carver	36,874	22,444	25,947	33,371
Central	72,284	23,556	28,078	67,762
Hoover	39,608	60,274	65,265	34,617
Elementary Schools				
Cunningham.....	11,047	23,095	18,707	15,435
Elk Run Pre-K	5,657	1,765	1,957	5,465
Fred Becker	12,825	32,249	32,283	12,791
Highland.....	42,287	23,932	27,678	38,541
Irving	42,515	20,872	34,766	28,621
Kingsley	23,439	48,029	46,910	24,558
Kittrell	36,462	34,471	38,250	32,683
Lincoln.....	43,778	30,857	47,406	27,229
Lou Henry	32,602	53,516	50,591	35,527
Lowell.....	15,689	22,216	18,610	19,295
Orange	31,194	49,122	49,385	30,931
Poyner.....	22,041	51,592	54,062	19,571
Other.....	<u>6,528</u>	<u>45,579</u>	<u>48,351</u>	<u>3,756</u>
Total	<u>\$ 1,182,868</u>	<u>\$ 1,786,837</u>	<u>\$ 1,781,086</u>	<u>\$ 1,188,619</u>

Capital Projects Fund Accounts - Description of Accounts ---

The Capital Projects Fund is used to account for specific resources that are restricted to expenditures for capital outlays. The fund has two sets of accounts, as follows:

Statewide Sales, Services and Use Tax	This set of accounts is used to account for all resources used in the acquisition and construction of capital facilities and the payment of fees related to the issuance of bonds.
Physical Plant and Equipment Levy	This set of accounts is used to account for resources accumulated and payments made for the purchase and improvement of grounds; purchase of buildings; major repairs, remodeling, reconstructing, improving or expanding the schools or buildings; and for equipment purchases.

Combining Balance Sheet - Capital Projects Fund Accounts

As of June 30, 2017

	Capital Projects		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Assets			
Cash, cash equivalents and investments	\$ 6,660,707	\$ 1,083,756	\$ 7,744,463
Receivables, Net of Allowance for Uncollectible Amounts			
Property Tax			
Current year delinquent	—	25,544	25,544
Succeeding year	—	2,947,267	2,947,267
Due from other funds	4,110	—	4,110
Due from other governments	<u>1,295,612</u>	<u>172</u>	<u>1,295,784</u>
Total Assets	<u>\$ 7,960,429</u>	<u>\$ 4,056,739</u>	<u>\$ 12,017,168</u>
Liabilities, Deferred Inflows of Resources and Fund Balances			
Liabilities			
Accounts payable	\$ 133,115	\$ 82,372	\$ 215,487
Due to other governments	<u>—</u>	<u>14,612</u>	<u>14,612</u>
Total Liabilities	<u>133,115</u>	<u>96,984</u>	<u>230,099</u>
Deferred Inflows of Resources			
Unavailable Revenue			
Succeeding year property tax	—	2,947,267	2,947,267
Other	<u>425,000</u>	<u>—</u>	<u>425,000</u>
Total Deferred Inflows of Resources	<u>425,000</u>	<u>2,947,267</u>	<u>3,372,267</u>
Fund Balances			
Restricted for			
School infrastructure	7,402,314	—	7,402,314
Physical plant and equipment	<u>—</u>	<u>1,012,488</u>	<u>1,012,488</u>
Total Fund Balances	<u>7,402,314</u>	<u>1,012,488</u>	<u>8,414,802</u>
Total Liabilities, Deferred Inflows of Resources and Fund Balances	<u>\$ 7,960,429</u>	<u>\$ 4,056,739</u>	<u>\$ 12,017,168</u>

Combining Schedule of Revenue, Expenditures and Changes in Balances - Capital Projects Fund Accounts

Year Ended June 30, 2017

	Capital Projects		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Revenue			
Local Sources			
Local tax	\$ —	\$ 2,879,533	\$ 2,879,533
Other	28,641	241,204	269,845
State sources	10,477,446	116,222	10,593,668
Federal sources	823,465	—	823,465
Total Revenue	<u>11,329,552</u>	<u>3,236,959</u>	<u>14,566,511</u>
Expenditures			
Current			
Instruction			
Regular	1,690	703,533	705,223
Vocational	—	1,387	1,387
Total Instruction	<u>1,690</u>	<u>704,920</u>	<u>706,610</u>
Support Services			
General administration	80	1,600	1,680
Business and central administration	—	155,368	155,368
Operation and maintenance of plant	—	98,520	98,520
Total Support Services	<u>80</u>	<u>255,488</u>	<u>255,568</u>
Facilities Acquisition	<u>482,693</u>	<u>2,801,714</u>	<u>3,284,407</u>
Total Expenditures	<u>484,463</u>	<u>3,762,122</u>	<u>4,246,585</u>
Revenue Over (Under) Expenditures	<u>10,845,089</u>	<u>(525,163)</u>	<u>10,319,926</u>
Other Financing Sources			
Transfers out	<u>(9,598,145)</u>	<u>(6,792)</u>	<u>(9,604,937)</u>
Change in Fund Balances	1,246,944	(531,955)	714,989
Fund Balances - Beginning of Year	<u>6,155,370</u>	<u>1,544,443</u>	<u>7,699,813</u>
Fund Balances - End of Year	<u>\$ 7,402,314</u>	<u>\$ 1,012,488</u>	<u>\$ 8,414,802</u>

Statement of Changes in Fiduciary Assets and Liabilities - Agency Fund ■■■■

Year Ended June 30, 2017

	Balance - Beginning of Year	Additions	Deductions	Balance - End of Year
Assets				
Cash	<u>\$ —</u>	<u>\$ 31,253</u>	<u>\$ —</u>	<u>\$ 31,253</u>
Liabilities				
Accounts payable	<u>\$ —</u>	<u>\$ 31,253</u>	<u>\$ —</u>	<u>\$ 31,253</u>

**Schedule of Revenue by Source, Expenditures by Function and Other
Financing Sources and Uses - All Governmental Fund Types
(Modified Accrual Basis)**

Last Ten Years

	2017	2016	2015	2014	2013	2012	2011	2010	2009	2008
Revenue										
Local Sources										
Local tax.....	\$ 41,042,810	\$ 40,879,253	\$ 41,644,560	\$ 42,476,135	\$ 50,599,641	\$ 48,794,236	\$ 47,907,941	\$ 49,786,925	\$ 48,754,219	\$ 46,212,046
Tuition	624,447	770,902	482,499	596,282	1,881,058	645,002	724,552	647,364	—	—
Other	3,436,520	3,152,079	4,346,865	4,780,661	4,412,490	4,390,491	3,609,854	3,826,358	3,997,924	5,363,665
Intermediate sources	—	—	—	—	—	—	—	—	—	10,330
State sources.....	93,075,350	92,921,474	90,713,945	82,483,942	67,889,502	65,694,781	64,173,910	54,520,646	61,072,325	60,639,195
Federal sources.....	<u>9,418,824</u>	<u>9,836,256</u>	<u>9,901,237</u>	<u>10,172,641</u>	<u>11,417,237</u>	<u>13,512,793</u>	<u>12,553,120</u>	<u>15,949,372</u>	<u>8,158,825</u>	<u>5,910,793</u>
Total	<u>\$ 147,597,951</u>	<u>\$ 147,559,964</u>	<u>\$ 147,089,106</u>	<u>\$ 140,509,661</u>	<u>\$ 136,199,928</u>	<u>\$ 133,037,303</u>	<u>\$ 128,969,377</u>	<u>\$ 124,730,665</u>	<u>\$ 121,983,293</u>	<u>\$ 118,136,029</u>
Expenditures										
Instruction										
Regular.....	\$ 55,353,953	\$ 58,993,633	\$ 60,697,165	\$ 57,440,376	\$ 58,001,828	\$ 57,358,965	\$ 54,334,602	\$ 53,410,072	\$ 49,745,136	\$ 47,238,480
Special	21,756,209	22,732,230	23,416,889	23,823,892	26,853,906	24,233,590	21,298,386	22,045,710	19,210,024	17,777,102
Vocational	400,383	202,779	169,788	184,768	201,367	181,479	161,738	197,814	185,276	225,193
Other	2,792,554	2,687,454	2,626,179	2,550,136	2,610,714	2,515,742	2,413,216	2,478,531	2,672,282	2,725,126
Support Services										
Student.....	4,415,783	4,788,157	4,468,458	3,934,386	4,189,344	3,943,132	2,853,555	2,559,696	3,133,821	2,487,719
Instructional staff	5,646,305	2,817,283	3,415,021	4,105,158	4,641,961	4,382,606	3,564,947	4,373,003	3,390,257	3,173,912
General administration	2,602,137	2,718,769	2,474,156	2,053,676	1,313,279	1,280,923	1,087,004	1,161,982	1,072,601	1,161,352
School administration.....	7,743,139	7,890,728	7,706,815	7,270,700	6,661,022	6,351,790	5,879,252	5,758,327	5,471,176	5,720,145
Business and central administration	3,827,775	4,534,563	4,017,360	4,208,250	4,028,887	3,897,856	4,683,782	3,909,258	5,325,264	2,766,553
Operation and maintenance of plant	11,167,991	11,138,260	10,914,335	10,999,450	10,708,839	9,941,089	9,638,972	9,850,642	9,919,474	9,286,639
Transportation	4,750,742	4,732,761	4,966,293	5,092,951	5,353,119	4,280,604	3,881,025	3,191,138	2,182,716	2,994,845
Noninstructional programs.....	810,060	762,335	41,051	56,164	7,312	7,272	11,533	17,099	14,950	27,082
AEA flowthrough.....	5,152,367	5,236,777	5,160,012	4,896,694	4,648,080	4,689,160	5,132,642	4,966,096	4,221,658	4,047,085
Facilities acquisition.....	3,284,407	1,736,111	5,916,295	8,016,091	16,032,792	12,646,370	18,959,552	17,750,265	38,925,059	14,066,142
Debt Service										
Principal	4,930,000	2,760,000	2,655,000	1,700,000	1,350,000	—	—	—	35,000,000	—
Interest and fiscal charges	<u>3,769,286</u>	<u>3,462,108</u>	<u>3,536,466</u>	<u>3,498,428</u>	<u>3,476,497</u>	<u>2,343,124</u>	<u>3,015,301</u>	<u>1,740,400</u>	<u>1,663,100</u>	<u>1,663,891</u>
Total	<u>\$ 138,403,091</u>	<u>\$ 137,193,948</u>	<u>\$ 142,181,283</u>	<u>\$ 139,831,120</u>	<u>\$ 150,078,947</u>	<u>\$ 138,053,702</u>	<u>\$ 136,915,507</u>	<u>\$ 133,410,033</u>	<u>\$ 182,132,794</u>	<u>\$ 115,361,266</u>
Other Financing Sources (Uses)										
Revenue bonds issued.....	\$ —	\$ —	\$ 5,060,000	\$ —	\$ 10,000,000	\$ —	\$ 69,159,539	\$ —	\$ 46,400,000	\$ —
Premium (discount) on sale of revenue bonds	—	—	—	—	246,146	—	240,456	—	(174,000)	—
Revenue bonds repaid	—	—	—	—	—	—	(46,400,000)	—	—	—
Refunding revenue bonds issued	43,045,000	—	—	—	—	—	—	—	—	—
Payment to refunding bonds escrow agent	(48,033,623)	—	—	—	—	—	—	—	—	—
Proceeds from sale of capital assets	—	17,400	—	—	50,003	—	—	—	1,150	7,506
Long-term note receivable from sale of capital assets	—	—	—	—	280,000	—	—	—	—	—
Transfers (net)	<u>—</u>	<u>—</u>	<u>—</u>	<u>—</u>	<u>—</u>	<u>133,409</u>	<u>—</u>	<u>(60,000)</u>	<u>(60,000)</u>	<u>(115,000)</u>
Total	<u>\$ (4,988,623)</u>	<u>\$ 17,400</u>	<u>\$ 5,060,000</u>	<u>\$ —</u>	<u>\$ 10,576,149</u>	<u>\$ 133,409</u>	<u>\$ 22,999,995</u>	<u>\$ (60,000)</u>	<u>\$ 46,167,150</u>	<u>\$ (107,494)</u>

Schedule of Expenditures of Federal Awards

Year Ended June 30, 2017

Federal Grantor/Pass-Through Grantor/Program or Cluster Title	CFDA Number	Pass-Through Entity Identifying Number	Passed Through to Subrecipients	Expenditures
U.S. Department of Agriculture - Indirect				
Pass-Through From Iowa Department of Education				
Child Nutrition Cluster				
School Breakfast Program	10.553	FY 17	\$ —	\$ 816,876
National School Lunch Program.....	10.555	FY 17	—	3,665,200*
Summer Food Service Program for Children.....	10.559	FY 17	—	117,656
Total Child Nutrition Cluster			—	4,599,732
Child and Adult Care Food Program.....	10.558	FY 17	—	21,196
State Administrative Matching Grants for the Supplemental Nutrition Assistance Program	10.561	FY 17	—	700
Fresh Fruit and Vegetable Program.....	10.582	FY 17	—	133,141
Total U.S. Department of Agriculture			—	4,754,769
U.S. Department of Education - Indirect				
Pass-Through From Area Education Agency 267				
Special Education Grants to States	84.027	FY 17	—	615,262**
Pass-Through From Iowa Department of Education				
Title I Grants to Local Educational Agencies.....	84.010	FY 17	—	3,165,815
Special Education Grants to States	84.027	FY 17	—	1,432**
Career and Technical Education - Basic Grants to States.....	84.048	FY 17	—	161,537
Rehabilitation Services Vocational Rehabilitation Grants to States.....	84.126	FY 17	—	237,009
School Safety National Activities	84.184	FY 17	—	122,828
Special Education - State Personnel Development	84.323	FY 17	—	8,455
Advanced Placement Program	84.330	FY 17	—	4,214
English Language Acquisition State Grants	84.365	FY 16/17	—	237,844
Supporting Effective Instruction State Grants	84.367	FY 17	—	634,098
Grants for State Assessments and Related Activities	84.369	FY 17	—	20,980
School Improvement Grants	84.377	FY 17	—	635,282
Total Pass-Through From Iowa Department of Education.....			—	5,229,494
Total U.S. Department of Education			—	5,844,756

Schedule of Expenditures of Federal Awards

Year Ended June 30, 2017

Federal Grantor/Pass-Through Grantor/Program or Cluster Title	CFDA Number	Pass-Through Entity Identifying Number	Passed Through to Subrecipients	Expenditures
U.S. Department of Health and Human Services - Indirect				
Pass-Through From Iowa Department of Education				
Substance Abuse and Mental Health Services				
Projects of Regional and National				
Significance.....	93.243	FY 17	\$ —	\$ 295,530
Cooperative Agreements to Support				
Comprehensive School Health Programs				
to Prevent the Spread of HIV and Other				
Important Health Problems.....	93.938	FY 17	—	558
Total Pass-Through From Iowa				
Department of Education.....			—	296,088
Pass-Through From Tri-County Child and				
Family Development Council, Inc.				
Head Start	93.600	FY 17	—	815,765
Total U.S. Department of				
Health and Human Services			—	1,111,853
Total			\$ —	\$ 11,711,378

* Includes \$409,291 of noncash awards.

** Total for CFDA Number 84.027 is \$616,694.

Basis of Presentation

The accompanying schedule of expenditures of federal awards (schedule) includes the federal award activity of Waterloo Community School District under programs of the federal government for the year ended June 30, 2017. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the schedule presents only a selected portion of the operations of Waterloo Community School District, it is not intended to and does not present the financial position, changes in financial position or cash flows of Waterloo Community School District.

Summary of Significant Accounting Policies

Expenditures reported on the schedule are reported on the accrual or modified accrual basis of accounting. Such expenditures are recognized following, as applicable, either the cost principles in OMB Circular A-87, *Cost Principles for State, Local, and Indian Tribal Governments*, or the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

Indirect Cost Rate

Waterloo Community School District has elected not to use the 10% de minimis indirect cost rate as allowed under the Uniform Guidance.

Independent Auditor's Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with Government Auditing Standards

Board of Education
Waterloo Community School District
Waterloo, Iowa

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of Waterloo Community School District as of and for the year ended June 30, 2017, and the related notes to the financial statements, which collectively comprise the District's basic financial statements, as listed in the table of contents, and have issued our report thereon dated February 22, 2018.

Internal Control Over Financial Reporting

In planning and performing our audit, we considered Waterloo Community School District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Waterloo Community School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Waterloo Community School District's internal control.

A deficiency in internal control exists when the design or operation of the control does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility a material misstatement of the District's financial statements will not be prevented or detected and corrected on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether Waterloo Community School District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*. However, we noted certain immaterial instances of noncompliance or other matters that are described in Part IV of the accompanying schedule of findings and questioned costs.

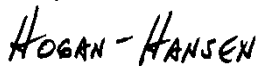
Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2017 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

Waterloo Community School District's Responses to Findings

Waterloo Community School District's responses to findings identified in our audit are described in the accompanying schedule of findings and questioned costs. Waterloo Community School District's responses were not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on them.

Purpose of This Report

The purpose of this report, a public record by law, is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.



HOGAN - HANSEN

Mason City, Iowa
February 22, 2018

Independent Auditor's Report on Compliance for Each Major Federal Program and on Internal Control Over Compliance Required by the Uniform Guidance

Board of Education
Waterloo Community School District
Waterloo, Iowa

Report on Compliance for Each Major Federal Program

We have audited Waterloo Community School District's compliance with the types of compliance requirements described in the U.S. Office of Management and Budget (OMB) *Compliance Supplement* that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2017. Waterloo Community School District's major federal programs are identified in Part I of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with the requirements of laws, regulations, contracts and grants applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of Waterloo Community School District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America, the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States and the audit requirements of the Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about Waterloo Community School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances. We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination on Waterloo Community School District's compliance.

Opinion on Each Major Federal Program

In our opinion, Waterloo Community School District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2017.

Report on Internal Control Over Compliance

The management of Waterloo Community School District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered Waterloo Community School District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of Waterloo Community School District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct noncompliance with a type of compliance requirement of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or combination of deficiencies, in internal control over compliance such that there is a reasonable possibility material noncompliance with a type of compliance requirement of a federal program will not be prevented or detected and corrected on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance, a public record by law, is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

HOGAN - HANSEN

HOGAN - HANSEN

Mason City, Iowa
February 22, 2018

Schedule of Findings and Questioned Costs

Year Ended June 30, 2017

Part I: Summary of the Independent Auditor's Results

Financial Statements

Type of auditor's report issued:	Unmodified	
Internal control over financial reporting:		
Material weakness identified?	☐ yes	☒ no
Significant deficiency identified not considered to be material weakness?	☐ yes	☒ none reported
Noncompliance material to financial statements noted?	☐ yes	☒ no

Federal Awards

Internal control over major programs:		
Material weakness identified?	☐ yes	☒ no
Significant deficiency identified not considered to be material weakness?	☐ yes	☒ no
Type of auditor's report issued on compliance for major programs:	Unmodified	
Any audit findings disclosed that are required to be reported in accordance with Section 200.515 of the Uniform Guidance?	☐ yes	☒ no
Identification of major programs:		

CFDA Numbers

Name of Federal Program

84.010	Title I Grants to Local Educational Agencies
84.367	Supporting Effective Instruction State Grants

Dollar threshold used to distinguish between Type A and Type B programs:	\$750,000
Auditee qualified as low-risk auditee?	☒ yes ☐ no

Schedule of Findings and Questioned Costs

Year Ended June 30, 2017

Part II: Findings Related to the Financial Statements

Instances of Noncompliance

There were no reported instances of noncompliance.

Internal Control Deficiencies

No matters were reported.

Part III: Findings and Questioned Costs for Federal Awards

Instances of Noncompliance

There were no reported instances of noncompliance.

Internal Control Deficiencies

No matters were reported.

Part IV: Other Findings Related to Statutory Reporting

17-IV-A Certified Budget

Finding - Expenditures for the year ended June 30, 2017 exceeded the amended certified budget amount in the support services function.

Auditor's Recommendation - The certified budget should have been amended in accordance with Chapter 24.9 of the Code of Iowa before expenditures were allowed to exceed the budget.

District's Response and Corrective Action Plan - Future budgets will be amended in sufficient amounts to ensure the certified budget is not exceeded.

Auditor's Conclusion - Response accepted.

17-IV-B Questionable Expenditures - We noted no expenditures that may not meet the requirements of public purpose as defined in an Attorney General's Opinion dated April 25, 1979 except as discussed in 17-IV-M.

17-IV-C Travel Expense - No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

17-IV-D Business Transactions - No business transactions between the District and District officials or employees were noted.

17-IV-E Bond Coverage - Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to ensure that coverage is adequate for current operations.

Schedule of Findings and Questioned Costs

Year Ended June 30, 2017

17-IV-F Board Minutes - No transactions were found that we believe should have been approved in the Board minutes but were not.

17-IV-G Certified Enrollment

Finding - The following variance in the basic enrollment data certified to the Iowa Department of Education was noted:

- The District counted a student in the ELL Program who had left the District prior to the count date.

The error resulted in the District over reporting by 0.22 students.

Auditor's Recommendation - The District should review procedures to ensure accurate counts are taken throughout the year and accurate enrollment data is certified to the Iowa Department of Education.

District's Response and Corrective Action Plan - The District will contact the Iowa Department of Education and Iowa Department of Management notifying them of the above change. The District will continue to monitor reconciliations of District information to information certified to the Iowa Department of Education.

Auditor's Conclusion - Response accepted.

17-IV-H Supplementary Weighting

Finding - The following variances in the supplementary weighting data certified to the Iowa Department of Education were noted:

- There were enrollment changes in three courses prior to the count date not reflected in the amounts certified.
- The District noted various minor errors in the calculation of FTE's for 39 courses.

The errors resulted in the District over reporting by 1.527 FTE's.

Auditor's Recommendation - The District should review procedures to ensure accurate counts are taken throughout the year and accurate data is certified to the Iowa Department of Education.

District's Response and Corrective Action Plan - The District will contact the Iowa Department of Education and Iowa Department of Management notifying them of the above changes. The District will continue to monitor reconciliations of District information and related calculations to information certified to the Iowa Department of Education.

Auditor's Conclusion - Response accepted.

17-IV-I Deposits and Investments - No instances of noncompliance with the deposit and investment provisions of Chapter 12B and 12C of the Code of Iowa and the District's investment policy were noted.

Schedule of Findings and Questioned Costs

Year Ended June 30, 2017

- 17-IV-J Certified Annual Report** - The Certified Annual Report was certified timely to the Iowa Department of Education.
- 17-IV-K Categorical Funding** - No instances were found of categorical funding being used to supplant rather than supplement other funds.
- 17-IV-L Statewide Sales, Services and Use Tax** - No instances of noncompliance with the allowable use of the statewide sales, services and use tax revenue provided in Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales, services and use tax revenue. Districts are required to include these reporting elements in the Certified Annual Report submitted to the Iowa Department of Education. For the year ended June 30, 2017, the District reported the following information regarding the statewide sales, services and use tax revenue in the District's Certified Annual Report:

Beginning balance		\$ 6,155,370
Revenue		
Sales tax revenue	\$ 10,477,446	
Other local revenue.....	28,641	
Federal revenue.....	<u>823,465</u>	11,329,552
Expenditures/Transfers Out		
School infrastructure construction.....	\$ 482,693	
Other.....	1,770	
Transfer to Other Funds		
Debt Service Fund	<u>9,598,145</u>	<u>10,082,608</u>
Ending Balance		<u>\$ 7,402,314</u>

For the year ended June 30, 2017, the District did not reduce any levies as a result of the monies received under Chapter 423E or 423F of the Code of Iowa.

17-IV-M Student Activity Funds

Finding - In accordance with Chapter 298A.8 of the Code of Iowa and Iowa Administrative Rule 281-12.6(1), monies in the Student Activity Fund should be used to support only the extracurricular and co-curricular activities offered as part of the District's educational program. We noted several expenditures in the Student Activity Funds that did not appear to meet these requirements or public purpose requirements.

Auditor's Recommendation - The District should review the student activity accounts and reclassify them to the appropriate funds.

District's Response and Corrective Action Plan - We have reviewed the activity and are working on policies and procedures to ensure compliance.

Auditor's Conclusion - Response accepted.